ANNEXURE -I

STEEL AUTHORITY OF INDIA LTD
(A Govt. of India Enterprise),
Scope Minar, 16th Floor Distt Centre Laxmi Nagar,
New Delhi - 110092

INVITATION TO TENDER

M/s ……………………………..
………………………………………
………………………………………

Dear Sir:

Sub: Open Tender for appointment of a Conversion Agent (CA) at Hajipur (BIHAR) for Production/Conversion of TMT Bars.

OT No : **SAILCA/Hajipur/TMT/21 Dated 9.12.2013**

1. Sealed tenders in prescribed Proforma enclosed are invited on Open Tender basis for appointment as Conversion Agent (CA) from the interested parties willing to set up TMT Bar Mill of capacity 100000 TPA at Hajipur to be installed within 18 months from date of issue of LOI as per requirements of SAIL under Conversion arrangement at Hajipur (BIHAR).

   Although the CA will be required to convert all the diameters and sizes as per SAIL's requirement, the thrust for conversion for TMT bars will be in the range of 8/10/12& 16 mm to 32 mm.

   The workable rates for TMT shall be within +5% and -20% of the estimated conversion cost.
   The Finished products i.e TMT Bars should be available with tolerances within BIS norms or as specified by SAIL as per market demand.

2. Sale of Tender Document

Tender documents can be downloaded from the website www.sailtenders.co.in . The last date of downloading of tender document is **6/1/2014 upto 6 PM.**

3. Financial Standing
The tenderer should be of sound financial standing and to this effect should provide a certificate from their Bankers. They should also submit their audited Balance Sheet for the previous three years or for the period since commencement of the business whichever is less.

4. Performance Record

Tenderers whose contract were or have been terminated due to non- performance or unsatisfactory performance shall not be considered eligible for a period of 3 years.

5. Eligibility of Tenderers:

- Tenderer should have Turn Over of Rs. 100 Crs & above during any one year of last three Financial Year (FY)
- Tenderer should have produced at least 25,000 TPA of finished Steel product in any one Year of the last 3 Financial years.

FY ended March 31, 2013, being referred to as "last FY".

6. The CA should obtain a BIS License and required testing facilities before commencing commercial production

7. The CA shall be required to own suitable computers and also make arrangement for Internet connectivity for availing connectivity to SAIL's ERP System.

8. The CA shall have the facility for microstructure study with photographic facility for analysis along with other testing facilities as per BIS standards.

9. WLA must have spectrometer and relevant standards for chemical testing as per IS2830 and IS1786.

10. WLA must have online flying shear of adequate capacity for cutting offered size range of TMT bars in the fixed length.

11. Finished stock must be stored on dunnage of minimum 500mm height and 2 meter spacing to prevent any portion from touching ground. Ground must be with hard stand.

12. The CA shall commission a weigh-bridge at his premises. The weighbridge should be an electronic weighbridge with printout facility of 60 Tonnes capacity with a 60 ft platform. The CA shall have an AMC to ensure that the weigh - bridge at their premises is kept in order.

The CA should calibrate the weighbridge to the extent of weighbridge capacity once in a quarter and also as per requirement of SAIL intimated from time to time. The calibration has to be done with standard weights and dead weights made out to standard weights. The CA should maintain records of all such calibrations. Also, records of all incoming and outgoing materials weighed on the weighbridge are to be maintained for checking by officials of SAIL at any time.

13 CA would have to obtain a license of either Thermex, Tempcore, Turboquench, Evcon or Stelmore processes for manufacture of TMT BARS.

14. CA shall also obtain the relevant ISO-9000 certification.

15. The total operation and maintenance (including labour, power, fuel, machinery, consumables etc.) shall have to be provided by the Conversion Agent (CA).

16. We intend the CA to set up TMT Bar Mill of 100000 Tonnes capacity, out of which we wish to get 72000 tonnes converted in the 8 to 32 mm range and out of this 72000 tonns, 60,000 tonnes would be in 8 to 16mm range. The supplies of TMT shall be in straight length, with minimum 90 % of production being in 12 Mtrs and 5 % in length of 10-13 meters. The CA should also be equipped to accept orders in specific length within plant capability, without any extra charges, as required by SAIL, from time to time.

17. The **following size mix is desired**:

For TMT bars			
8	**mm**	**–15**	%
10	**mm**	**–15**	%
12	**mm**	**–30**	%
16	**mm**	**–20**	%
abv 16 mm		**–20**	%

18. CA plant must be equipped for supplying 100% embossed material as per branding to be stipulated/prescribed by SAIL. Rolls for TMT bar Mill shall have to be cut as SAIL design by machines like SPARKONIX by the CA.

19. The CA may utilize the excess capacity for its own business requirements which shall in no way hamper the smooth functioning and the contract with SAIL.

20. The CA should be registered with Sales Tax and Excise authorities.

21.Tender document duly filled in and signed by a duly authorized person may be put in the Tender Box kept for this purpose in the office of the Group in the above mentioned address at SAIL Division 16th floor Scope Minar Laxmi Nagar Delhi - 92 latest by 2.00 PM of 7/1/2014. Tender can also be submitted by Post/Courier. Tenders must be submitted as prescribed in Instruction to Tender for Conversion of Semis to TMT bars. Tender will be opened at 3.00 PM on the same day i.e. on 7/1/2014.

22. By submitting a quotation the tenderer shall be deemed to have fully familiarized himself with all requisite details including the quantity and type of materials expected to be **converted/produced**, as well as information contained in the enclosed Instructions to Tenderers including the Terms and Conditions of the Conversion Agency Contract and have fully satisfied himself/ itself of his/ its capabilities to undertake and perform the jobs to the satisfaction of the company. Any alteration or modification or imposition or suggestion in deviation to the terms and conditions prescribed by SAIL in Tender Papers shall be ignored and such Tenders shall be considered as invalid.

23. Tnderer may undertake site visit at Hajipur before submission of tender w.r.t location, rail/road linkages etc.

24. The tender shall be kept valid for **a period of 120 days** from the date of opening of technical bid of the tender and any modification, variation, clarification made thereto by the tenderer during the above period shall be construed as withdrawal of the tender in which event the Company (SAIL) shall reject the Tender and forfeit the EMD without any reference to the tenderer.

25. Please note that by merely inviting you to submit the tender, there is absolutely no commitment, implied or otherwise, at this stage from our side as to the award of actual Contract and no correspondence in this regard will be entertained by us. Nor SAIL shall be liable in any manner whatsoever, for costs and expenses etc. incurred in responding to this Invitation.

26. The Company (SAIL) reserves the right to accept or reject any or all tenders without assigning any reason whatsoever. The tender document is being issued subject to the SAIL Board approval.

Yours faithfully,
for STEEL AUTHORITY OF INDIA LIMITED,

Dy GM (SPU)

ANNEXURE - II

STEEL AUTHORITY OF INDIA LIMITED (A Govt. of India Enterprises)

INSTRUCTIONS TO TENDERERS

1. **Scope of work**

The jobs under Conversion would broadly involve:

a) Offering 72,000 Tonne of annual capacity of the plant exclusively for production of 8 mm to 32 mm diameter TMT bars through Thermex/Tempcore/ Stelmore/Tempcore, Turboquench/Evcon process as per requirement of SAIL with 100% embossing as designed by SAIL (All converted products produced from SAIL Semis only by CA will be 100% embossed as per SAIL specification). Any material produced from the Semis purchased from the open market i.e. other than SAIL supplies will not carry either the name or the brand of SAIL.

b) SAIL shall guarantee for minimum utilisation of upto 75% of 72000 T i.e. 54000T per anumn for TMT bars The rated capacity of the CA will be assessed by a Technical Evaluation Committee (TEC) of SAIL and their assessment will be final and binding on the appointed CA.

c) Transportation of Semis from SAIL Plant(s)/Syd(s) to their premises and unloading at their premises and/or unloading of Semis at Rly. Goods Shed and transportation of the same to their premises in case of direct dispatch at their costs.

d) Stacking of Semis at their premises with proper identity of the material.

e) Conversion of Semis into finished products (TMT bars) within 10 (Ten) days from the date of receipt of the material at their premises as per the specified size/quality in compliance with the terms & condition and guidelines of the company on CA.

f) CA shall ensure that proper traceability of the finished products is maintained with the Semis.

g) To supply these converted products to specified customers'/ allottees of the Company/ Company itself based on actual weighment within 7 (seven) days from the date of presentation of D.O. (Delivery Order) against proper Authorisation letter from the receiving party or within 10 (ten) days from the date of receipt of Semis at their premises whichever is later for TMT Mill .

h) To provide Test Certificate to the receiving party at the time of delivery. 3rd party inspection will be carried out, charges for which shall borne by SAIL.

i) To comply with all the relevant statutory provisions with all the statutory authorities like Excise, Sales Tax etc. as applicable .

j) Any quality complaint received shall be inspected by SAIL and their decision on the matter will be final and binding on the CA.

k) CA shall have to neatly and adequately bundle and tag TMT Bars with binding wires /wire rods/straps in the following suggested bundle sizes:

For TMT bars
8mm-18 pcs 10mm-12pcs 12mm-8pcs 16mm-5pcs 20/32mm- to be specified by SAIL

Bundling and packing of 20-32mm TMT bars should be done with signode strapping at least at 5 places in a bundle. Each bundle should weigh apprx 3MT. For 8-16mm TMT bars bundles as per above specifications have to be unitized once again to form larger bundle of apprx 3MT with signode strapping at atleast 5 places in a bundle. The signode strap will be as per the design to be given by SAIL and the applicant should consider the cost of strapping at five places in a bundle.

(In case SAIL supplies any tags/holograms/labels etc the same should be fixed/tied to the bundles of TMT Bars)

l) Tags, as may be decided by SAIL, would also have to be fixed on bundles by the CA. Specific length supplies are to be made without any mix up.

m) The CA will be responsible for cutting of rolls for embossing for the purpose of branding **as indicated to the CA by SAIL**. The CA will have to ensure that conversion activities are not interrupted due to non-availability of rolls with suitable embossing for TMT.

2. **Conversion Charges**:

i) For the conversion job, CAs will be paid a **consolidated** Conversion charge **(rate)** for supply of one tonne of finished goods which will largely be deemed to include the following elements. CAs shall quote their consolidated rates towards Conversion charges after considering the elements of cost under A and B below,

(A) a. Variable Conversion Cost for per tonne of finished products
b. Fixed Conversion Cost for per tonne of finished products
c. Profit margin of CA

(B) (a) Storage/Stacking charges
(b) Cost of transportation of Semis from SAIL stockyard/public booking point (PBP) to CA premises, if any
(c) Handling cost at PBP/Private siding
(d) Bending, bundling and metal tagging, stamping, painting/ stenciling, beveling etc.
(e) Weighing charges

(f) Testing and inspection charges
(g) Handling expenses for delivery into customers' trucks
(h) Cost of any other services to be rendered to SAIL, as well as to SAIL customers.
(i) Cost of cutting and embossing of rolls as per SAIL's design.

NB: The elements of costs given above are only indicative and not in any way exhaustive.

In the proforma for obtaining the Conversion charges **(Rate) (as per Annexure-B)** a single consolidated rate per tonne separately for TMT will be considered.

i) The Conversion charges shall be paid on a fortnightly basis.

ii) SAIL may post their own employee(s) at the premises of CA who would, over-see the conversion activities.

iii) The Conversion charges shall be kept valid/firm for three years from date of issue of work order or one year of opeation. The charges **would** be revised after the end of one year of operations, **based on the escalation/de-escalation formula laid down under** clause 13 of **Instruction to Tenderers.**

Freight for transportation of converted products from CAs premises, to the parent stockyard, will be "Pre-fixed" and escalation/de-escalation will be paid as per the formula mentioned below and the revision of rates will be permitted annually and will apply from the second year of operation. The escalation/de-escalation will be calculated on the index which will be 15 days prior to the beginning of the second year of the operation for TMT. This will not be taken for evaluation of Price Bid. The quantity to be transported will be as per SAIL's requirement.

For Transportation only

Components	**Weight**	**Neutralization**	**Basis**
Diesel	55 %	50%	IOC Nearest Retail outlet
Overhead	30 %	50 %	RBI Average Index Number(s) of Whole Sale prices in India – by Groups and Sub Groups of Machinery and Machine Tools, and Transport Equipments and Parts, on a simple average basis.
Profit	15 %	Nil	

3. **Metal loss:**

a) For every tonne of Semis supplied, CA shall have to return 0.95 MT of tested finished product for TMT Bar .

b) If the CA is able to get a better yield than 95%, SAIL will buyback the extra quantity in standard length

(10 to 13 metres) for TMT at the prevailing selling price **of the concerned item** of SAIL minus Rs 200 per tonne. Selling price of the converted product will be communicated on a monthly basis by SAIL and the price decided by concerned authority of SAIL will be final.

c) In case CA fails to supply 95 % of the input as finished products, SAIL shall recover the value of the shortage of finished product at the prevailing selling price by SAIL of the items having highest selling price in the contract. The decision of SAIL will be final in this regard. This will also be done on monthly basis.

d) The arisings including the short length may be disposed by the CA on monthly basis after due inspection by SAIL officials.

4. **E. M. D.**

a) Tenderer is required to pay an amount of Rs. 30 Lakhs (Rupees thirty Lakhs) in the form of Demand Draft/Pay Order/Banker's Cheque with Scheduled Banks in favour of Steel Authority of India Limited, towards EMD at the time of submission of tender documents. No interest will be payable to the tenderers for this EMD amount. Demand Drafts/ Pay Orders/ Bankers Cheques from Cooperative and Gramin Banks & Syrian Catholic Bank shall not be accepted. No request for adjustment of earlier dues against the amount of EMD shall be entertained.

b)) In the event the tender of any party is rejected during the course of techno-commercial scrutiny and evaluation, the EMD shall be returned to such tenderer within 7 (seven) days from the date of rejection of offer. The EMD, of unsuccessful Tenderers, shall be refunded within 30 days of issue of LOI to the successful tenderer. The EMD of the successful tenderer will be refunded within one month of the issue of the work order. In the event of the successful tenderer failing to comply with the conditions mentioned in the letter of Intent (LOI), the EMD shall be liable for forfeiture.

5. **Financial Security:**

a) Security Deposit

A total amount of **Rs. 40 lakhs (Rs. Forty Lakhs only) for TMT Mill** will have to be paid as Security Deposit in the form of Bank Guarantee (BG) drawn on Scheduled Banks favoring Steel Authority of India Ltd. except Gramin/Cooperative Banks and catholic Syrian bank at Patna . The Security Deposit will be refunded at the end of the contract subject to adjustment of SAIL’s claim, if any, due to non-performance/non-compliance of the terms and conditions of the contract. (BG Format at **Anexure-XIII**)

b) Financial Coverage:

Financial coverage to be taken from the Tenderer would be as follows: The Bank Guarantee for the financial coverage will require to be submitted before commencement of operations.

Monthly Turnover (Qty. in M/t)	Total coverage (Rs in lakhs) for max tonnage	BG coverage (Rs in lakhs)
6000	**Max 2250**	**660**

For covering the risk in respect of total value of the materials lying with CA, Burglary/ Fidelity insurance coverage for balance materials not covered by Bank Guarantee of CA will be taken by SAIL. Burglary/ Fidelity Insurance coverage will be activated only after BG coverage given by the CA is exhausted. The amount of cover under such burglary/fidelity policy may be extended if and when necessary. In addition to the above, Custody – Indemnity Bond as per **Annexure VII** shall also be taken form the CA.

6 (a). Validity of Tender

The tenderers shall have to keep their tenders valid for 120 days from the date of opening of technical bid of tenders.

6 (b). Tenure:

The successful tenderer will be appointed as the CA of SAIL for a period of five years from the date of work order, extendable by three years (8 years i.e. 5+3) with mutual consent, subject to availability of Billets from SAIL and satisfactory performance of CA, with the option to terminate by giving suitable notice **as indicated separately in the termination clause**. Extension, if any beyond five years will be at the same rates, terms and condition. Bank Guarantees would have to be extended accordingly.

7 Submission of Tender:

Documents to be submitted by the Tenderers will be as under:

a) The tenderers shall submit the EMD in a sealed envelope No. 1 superscribed with 'Tender for CA at Hajipur EMD'.

b) The technical bid shall be put in a separate sealed envelope No. 2 superscribed with ' Tender for conversion agent at Hajipur - Technical Bid' for TMT mill

c) The technical bid shall contain the following documents –

i) The tender papers with all the pages dully filled up as required, signed by a person authorized to do so on behalf of the tenderer and stamped with the seal of the tenderer.

ii) Certified Copies of the Audited Balance Sheets for last 3 financial years.
iii) Certified Copy /documents regarding tenderer have produced at least 25,000 TPA of finished Steel product in any one Year of the last 3 Financial years.

iv) Constitution of the tenderer's concern /firm /company, including the date of registration/ incorporation.

- In case of a company, Memorandum & Articles of Association along with the certificate of incorporation issued by the Registrar of Companies are to be submitted.

- In case of a Partnership Firm, an authenticated copy of the partnership deed and a copy of certificate of registration issued by the Registrar of Firms (if the Firm is registered) are to be submitted.

- In case of a proprietary concern, proof of proprietorship issued by the Govt. Deptt. Concerned is to be submitted.

v) Name & address of the Bankers of the tenderer along with certificate from the Bankers on financial soundness of the tenderer indicating the particulars of transactions during last three years.

vi) Copy of the BIS license of the existing unit duly attested by a Gazetted Officer/Notary Public, if any.

vii) A declaration stating that the tenderer will owns suitable computers along with Internet connectivity for connecting to SAIL's ERP System .

viii) Declaration as to whether the tenderer has any relative, wtihin the meaning of Sec. 6 read with Schedule 1(a) of the Companies Act, 1956, employed in any capacity in SAIL.
ix) Copy of the Power of Attorney in favour of the authorised signatory submitting the tender documents on behalf of the tenderer.
x) Signature of the tenderer on the application form shall be attested by two witnesses. The names, occupation and addresses of the witnesses shall be clearly stated

d) The **price bid** containing the **consolidated** Tenderer charges **(rate)** per tonne duly filled up both in figures and words as per **Proforma for 'Schedule of Tenderer Charges' at Annexure-B** shall be put in a separate sealed envelope No. 3 superscribed with 'Tender for CA at Hajipur for TMT mill- Price Bid'.

The tenderers shall be required to submit the rates irrespective of the source/mode of supply of Semis by SAIL.

e) All the envelopes shall indicate the name and address of the tenderer and shall be sealed and the envelope No. 2& 3 shall be put inside another master envelope No. 4, which shall be submitted in sealed condition, by the tenderer. The master envelope No.4 shall be superscribed 'Tender for Conversion Agent at Hajipur' in Bihar and shall indicate the name and address of the tenderer.

f) In case of correction/erasing etc., the same should be countersigned by the authorised signatory of the tenderer and stamped with the office seal of the tenderer.

8. **Receipt of Tenders:**

a) The following shall be the accepted modes for receipt of tenders:

-Tenders received by post,

-Tenders received by courier service,
-Tenders received through tender box.

b) SAIL will not take any liability for accepting a tender because of any loss or delay in transit resulting in non-receipt and/or delay in receipt of Tender sent by post and/or through courier service.

c) Tenders shall also be received in the Tender Box kept for this purpose at STEEL AUTHORITY OF INDIA LTD, 16th Floor, Scope Minar, North Tower, upto the closing time **i.e. 2.00 PM of 7/1/2014.** The tender shall be opened on **3 PM of 7/1/2014.**

9. **Rejection of Tenders:**

a) Tenders shall be liable for rejection in case of non-compliance in submission of any above documents i.e as indicated at 7 above.

b) In case of receipt of any adverse report in respect of capabilities and performance of a tenderer, from any department of SAIL or from Heads of Materials Management/ Vigilance Deptts. of sister units/Corporate Office of SAIL or from Ministry of Steel/ Statutory Bodies/CBI/CVC, before or after opening of Price Bids, then the tender/ quotation submitted by such tenderer shall be rejected on the basis of recorded reasons
c) Tenders submitted after the scheduled date and time as stipulated shall not be accepted.

10. **Opening of Tender:**

A. **EMD**

a) A Tender Opening Committee shall first open the envelope No.1 submitted by the tenderers at the appointed time and date.

b) Name, addresses and signatures of the persons present at the time of opening of tenders along with the names of Firms/Companies/concerns such persons are representing shall be recorded by the Tender Opening Committee.

c) The envelope No. 1 shall be opened for all the tenderers to see as to whether all the tenderers have submitted the requisite EMD. In case any tenderer fails to submit the EMD, the tender submitted by such tenderer shall be rejected.

B. **Technical Bid**:

The technical bids of eligible tenderers as contained in the envelope No. 2 would be taken up next for opening and thereafter for verification and evaluation.

Technical Evaluation:

a) The techno-commercial suitability of the tenderers would be decided at the first stage, b) The date & time of the opening of the price bid shall be intimated to such tenderers who qualify in the technical evaluation.

C. **Price Bid**:

a) The price bids 'Envelope No.3 of those tenderers who have been successful at the technical evaluation stage shall be opened on the due date and time by the Tender Committee of SAIL. Representative of the technically qualified tenderers may be present. In case the tenderers or their representatives do not opt to be present despite being informed in advance about the date and time of opening, tender committee shall go ahead with opening of price bids in their absence.

b) The **consolidated** rates are to be quoted both in words and figures. In case of any discrepancy between the words and figures in the rates quoted, the lesser of the two rates quoted shall be accepted

Evaluation of Price Bids:

i) The tenderer has to quote the consolidated conversion rate for TMT in a closed sealed envelope.
ii) The ranking of the tenderers will be done as per the consolidated per tonne rate quoted for the entire range for TMT

iii) In case the rate so obtained for TMT s are within the acceptable range of estimated workable rate separately, then the tender evaluation committee may recommend for placement of contract to L1 tenderer for that specific input-output combination, without any further clarification.

iv) In case the rate so obtained are higher than the upper limit of the acceptable range of estimated workable rate for TMT, the Tender Committee shall hold negotiation with the L-1 tenderer for bringing down the rate for the specific input-output within the acceptable range

It is to be noted that negotiations can be held only with the L-1 tenderer and also rates cannot be increased after negotiations.

If the L-1 rate is below the lower limit of the acceptable range of workable rate, the L-1 tenderer will be asked to justify the rates quoted. In case the tenderer refuses to justify or fails to justify the rates quoted, the tenderer will be asked to furnish Performance Guarantee Bond equal to the amount which will be the difference between lower limit of estimated rates per tonne and the quoted rates of tenderers per tonne(say Rs 500 per tonne) for the minimum assured quantity of Semis (54000 Tonnes for TMT) .

The tenderers who refused to comply with the above, their EMD will be forfeited and they will not be considered in re-tendering if orders/contract is not finalized from the present tender. In such an eventuality, the tender will not be finalized and re-tendering shall be resorted to. In case the L-1 tenderer is able to justify his rate, and found to be workable by the tender committee, or credentials of the party are established, then Performance Guarantee Bond may be waived with the approval of Next Higher Authority.

11. **Issue of LOI and Work Order and Agreement:**

a) On approval of appointment of specific Tenderer the SAIL shall issue a Letter of Intent to the successful tenderer to complete the necessary formalities like, submission of Bank Guarantee, Custody and

Indemnity Bond etc within a period of 60 days.
b) **The successful tendererer shall have to procure the land for the project within 90 days (3 months) from the date issuance of the LOI**.

c**) The successful tenderer shall submit an affidavit to the effect that the required TMT bar mill / facilities / arrangements will be put up within the specified time period of maximum 18 months from date of LOI .** Thereafter, the CA will have to sign an agreement with SAIL for the job awarded within 7 days of intimation from SAIL. The successful tenderer shall execute a formal Agreement on non-judicial stamp paper. The work order will be issued to the successful tenderer on completion of all the formalities detailed in the Letter of Intent and signing of agreement. The date of commencement of work in the contract shall be as per the date mentioned in the work Order. The Advertisement for Tender, Instruction to tenderers, and Terms & Conditions of contract along with all the enclosures including the Schedule of rates agreed between the parties and letters exchanged with the successful tenderer shall form part of the contract.

d) The issue of LOI and Work Order to the successful tenderer and signing of agreement with the CA will be co-ordinated by CMO.

d) If the successful tenderer fails to complete the formalities indicated in the LOI within the time permitted to him by SAIL, the EMD submitted by him shall stand forfeited and he shall not be allowed to participate in the re tender.

12. **Payment of Bills:**

a) Payment to the CA for the jobs performed shall normally be made on fortnightly basis on the quantity delivered.

b) For release of payment against Conversion, CA shall submit documents like the following for verification by dealing officer and finance executive of the Branch in respect of correctness of the quantities billed for, the rates and recoveries in respect of materials released to him and other terms and conditions of the contract :

- i) Bills of Conversion Charges,
- ii) Copies of Delivery Challans,
- iii) Copies of Excise Invoices issued under extant excise rules pertaining to (b) above and
- iv) Test Certificates pertaining to the deliveries at (b) above.

13. **Revision of rates:**

The Conversion charges shall be kept valid/firm for three years from the date of issue of work order or one year of operation, whichever is earlier. The charges would be revised annually thereafter based on the escalation/de-escalation formula laid down as under. One year of operation shall be taken into account the day SAIL starts supplying Billets to CA for TMT

At the end of one year of operation for the TMT mill, the CA charges will be revised based on the following weightages and neutralization for each of the components:

FOR TMT CONVERSION

Components	**Weight**	**Neutralization**	**Basis**
Labour	10 %	100 %	Min or statutory Wages as per notification of labour department of the concerned state government for Unskilled labour.
Fuel (furnace Oil)	15 %	60 %	IOC Nearest Retail outlet
Diesel	5%	60%	IOC Nearest Retail outlet
Electricity	25 %	60 %	Unit electricity rate as per the
			Electricity provider Company/ SEB in the concerned locality/specific to the Industry/segment.
Overhead	30 %	50 %	RBI Average Index Number(s) of Whole Sale prices in India – by Groups and Sub Groups of Machinery and Machine Tools, and Transport Equipments and Parts, on a simple average basis.
Profit	15 %	Nil	

The base indices for the above elements will be considered as on a date which is 15 days prior to the date of opening of the tender. The revision of rates will be permitted annually and will apply from the second year of operation of TMT Mill. The escalation/de-escalation will be calculated on the index which will be 15 days prior to the beginning of the second year of the operation of TMT. It will apply similarly to the subsequent years, for contract period.

ANNEXURE – III

TERMS AND CONDITIONS OF CONVERSION AT HAJIPUR

1. **Definitions**

The following words and expressions used in this Contract shall have the meaning assigned to them except where the context otherwise requires.

The '**Company**' shall mean Steel Authority of India Limited (SAIL) with its Registered Office at ISPAT BHAVAN, Lodi Road, New Delhi 110 003. And also having one of its Units as Central Marketing Organisation at 40, Jawaharlal Nehru Road, Calcutta – 700 071 as also its Branch Sales Office at Patna (Name and address of the Branch to be specified)

The expression '**Executive Director (Marketing)'** shall mean the Executive Director (Marketing – LP Group) and / or Executive Director (Marketing – FP Group) of the Company or any other officer of the Company for the time being incharge of the Company's Central Marketing Organisation (Home Sales – LP Group and / or Executive Director (Marketing – FP Group).

'Regional Manager' shall mean the Head of the Region for LP and /or FP, or any other Officer of the Company for the time being, incharge of the Region.

'Branch Manager' shall mean the Branch Manager for LP and /or FP of the Concerned Branch under whose jurisdiction the Conversion premise is situated or any other Officer of the Company for the time being incharge of the Branch.

'**Tenderer'** shall mean the person, firm/ company or corporation submitting a tender against the Invitation to Tender and shall include his / its successors and assigns approved by the 'Company'.

Succsful Tnderer or Conversion Agent or CA shall mean the tenderer whose tender has been accepted by the "Company" and shall include Tenderer's successors and assigns approved by the Company.

'**Contract**' shall mean and include the Agreement between the Company and the Tenderer duly signed by the parties thereto for the execution of the work together with all documents annexed / attached therewith or referred to.

'Public Booking Point' shall mean the Railway Goods shed where Railway wagons are placed for unloading and / or booking of goods including Iron & Steel materials (This goods shed may not be a public booking point in the strict literal sense).

'**Private Siding**' shall mean the Railway siding as defined in the siding agreement with the railways inside the CA's Yard and where railway wagons are placed for unloading and / or booking of Iron & Steel materials.

'**Company's Materials**' means Iron and steel materials despatched from the company's Plants at

Bhilai, Durgapur , ISP at Burnpur, Rourkela , Bokaro and any other Plant/Mill that shall be subsequently taken over by the Company during the tenure of contract and also stock transfer of such materials from any of company' stockyards.

'Excepted Matters' mean those matters in respect of which decision of the Company shall be final and binding upon the successful tenderer.

2. **Scope of work:**

i) SAIL will endeavor to deliver the rerollable materials to CA directly from the nearest Plant.

ii) Semis may also be supplied from stockyards of SAIL/ SAIL Plants or from public booking points situated near the works of the CA or even at the private Railway siding of the CA.

iii) While, loading will be done free of cost by SAIL at the Steel Plants/Stockyards, CA shall have to arrange to bring the materials to their premises by own arrangement from public booking point/stockyard.

iv) In case of direct delivery to the CA from the Plant, either transportation cost actually incurred or PPM freight from the plant to the nearest stockyard destination which ever is lower may be reimbursed to the CA. However, if the Semis are dispatched by wagons to public booking point, cost of transportation to the public booking point shall be borne by SAIL and CA shall have to arrange for unloading and transportation of the same to their premises at their own cost.

v) For delivery of Semis from stockyards, the transportation cost for carrying the materials to the premises of the CA would be borne by the CA themselves. They shall unload the Semis inside their premises at their own cost and stack them after ensuring proper identity of the material. It is expected that CAs would execute the conversion job to the extent of mill capacity or agreed plan within 10 days from the date of receipt of material at their premises and ensure that proper traceability of finished products with input Semis is maintained.

vi) The finished products shall have to be supplied by the CA within 7 days from the date of presentation of D.O. or within 10 days from the date of receipt of Semis at their premises whichever is later on actual weighment against proper authorisation letter from the receiving party/SAIL. The CA must ensure that the quantity so delivered does not exceed the D.O. quantity.

vii) Stock of converted products shall be evacuated from the CAs' premises within **20** days of supply of Semis . to the CA, either directly to customers of SAIL or to warehouse(s) of SAIL, subject to CA having completed conversion within 10 days of supply of Semis .

viii) CAs shall have to provide Test Certificates in the prescribed format to the receiving party/ SAIL at the time of delivery. 3rd party inspection will be carried out, charges for which shall be borne by SAIL.

ix) The CA will be responsible for cutting of rolls for embossing for the purpose of branding 'SAIL TMT' on the TMT Bars **as may be indicated to the CA by SAIL**. The CA will have to ensure that conversion activities are not interrupted due to non-availability of rolls with suitable embossing.

x) CA shall have to neatly and adequately bundle and tag TMT Bars facilitating damage free transportation and market requirement. In case SAIL supplies any tags/holograms/labels etc the same should be fixed/tied to the bundles of TMT Bars. Tags, as may be decided by SAIL, would also have to be fixed on bundles by the CA. Specific length supplies are to be made without any mix up.

xi) CA shall comply with all the relevant statutory provisions with all the statutory authorities like Excise, Sales Tax etc. as applicable.

3. Capacity of CA Hajipur

i. 100, 000 T per annum capacity of the TMT mill

ii. Offering the 72000 T of capacity of the plant per annum exclusively for production of 8 mm to 32 mm diameter TMT bars through Thermex/ Tempcore/ Stelmore/ Turboquench/ Evcon processes as per requirement of SAIL with 100 % embossing as designed by SAIL.

iii. For 72000 Tonnes of TMT production, no. of hot hours per month/ year is to be indicated by the CA in their application. SAIL shall guarantee supply of Semis . equivalent to 54000 T of TMT per annum.

iv. The CA may produce and sell the said product under his banner beyond 72000T per annum for TMT bars

4. Transportation of finished products and Door Delivery:

The scheme essentially envisages that CA shall supply converted products to the customers of SAIL against valid delivery order from their premises. However, if a customer prefers to take delivery at their premises, then Branch Sales Office of SAIL shall provide door delivery for all converted products from the CA's premises through the transporter appointed by SAIL for the purpose.

Converted product may also be brought to the Stockyard by authorized transporter of SAIL for onward delivery to the customer. – Conversion Agents may also be allowed to transport the materials to SAIL's stockyards, at SAIL approved transportation rates.

Freight for transportation of converted products from – Conversion Agents premises, to the parent stockyard, will be "Pre-fixed". This will not be taken for evaluation of Price Bid. The quantity to be transported will be as per SAIL's requirement.

In case of stock transfer of converted products from CA's premises to any of the SAIL's warehouses/ stockyards the weight as recorded at SAIL's warehouses / stockyards shall be final.

Converted product may also be brought to the Stockyard/warehouse by authorized transporter of SAIL for onward delivery to the customer. CA may also be allowed to transport the materials to our stockyards at SAIL approved transportation rates.

CA may be allowed to transport the converted materials to the stockyard with the approval of SAIL.

In case of delivery from CAs premises to the customers, the weight recorded in the weigh-bridge of the

CA shall be accepted.

In case of delivery from CA premises on to the vehicle of the SAIL authorized transporter either for stock transfer or delivery to customers, the weight recorded in the weigh-bridge of the CA shall be accepted.

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5. Supply of raw material:

i) Semis would be supplied to CA on stock transfer basis from ISP, BSP, DSP, or any other Plants of SAIL.

ii) The CA may be allowed to collect Semis directly from the Plant, through their arrangements. Depending upon the specification of the finished items as well as availability of different sizes of Semis., the actual type and quality of Semis to be supplied to the CA will be decided. The Semis would be in standard length with upto 15% in short length down to 1.5 Mtrs for billet. Linked test certificates for the rerollables .. would be made available to .

iii) SAIL may decide to supply Semis from Stockyard /Public Booking Points nearby premises of instead of directly delivering the same at the Plant, at their option.

The size of the input material to be supplied by SAIL shall normally be:

For Billet: 100/150 mm Length of 9/12 Mtr,

Note: However, SAIL reserves the right to supply other sizes/length of Semis , depending on availability.

In case SAIL is not in a position to supply the Semis., the CA would be free to obtain the Billets from other sources for their own production.

6. Financial Security &Bonds:

a) The Tenderer shall furnish the Security Deposit of Rs.40 lakhs for TMT in the form of Bank Guarantee (BG) drawn on Scheduled Banks favoring Steel Authority of India Ltd. except Gramin/Cooperative Banks and catholic Syrian bank at Patna. The Security Deposit will be refunded at the end of the contract subject to adjustment of SAIL’s claim, if any, due to non-performance/non-compliance of the terms and conditions of the contract. The Security Deposit shall not carry any interest.

b) In addition, the Tenderer shall furnish a Bank Guarantee for ie TMT BAR MILL (as per prescribed proforma) for appropriate value issued by a Nationalised Bank towards partial value of materials held in stock as stated under:

Monthly Turnover (Qty. in M/t)	Total coverage (Rs in lakhs) for max tonnage	BG coverage (Rs in lakhs)
For TMT 6000	Max 2250	660

The Tenderer shall in addition execute a Custody and Indemnity Bond (as per prescribed proforma at **Annexure-VII)** in respect of materials to be despatched to and received in the CA Premise.

For covering the risk in respect of total value of the materials lying with CA, Burglary/ Fidelity insurance coverage for balance materials not covered by Bank Guarantee of CA will be taken by SAIL. Burglary/ Fidelity Insurance coverage will be activated only after BG coverage given by the CA is exhausted. The amount of cover under such burglary/fidelity policy may be extended if and when necessary.

c) If the company suffers any losses or damages due to any negligence and / or non-performance of the obligations under the contract by the conversion Agent, the CA shall on demand pay to the company the specified sum.

However, the company reserves the right to recover such losses and/ or damages by enforcing the Bank Guarantee as well as the Custody and Indemnity Bond and/ or from any of the Conversion Agent's Bills pending for payment with the company without prejudice to any other legal remedies / recourse available to the company to proceed against the CA for recovering such losses / damages.

d) The decision of the company as to the amount of loss (es) / damage(s) suffered by the company shall be final and binding upon the CA.

e) The Bank Guarantees / Custody and Indemnity Bond shall be released only after the expiry / termination of the contract and satisfactory performance of the work and on completion of all obligations by the CA under the contract terms.

f) Before release of B/Gs, the CA shall also submit a certificate to the effect that he has no claim(s) against the company under the contract.

g) In the event of B/Gs being inadequate or fully encashed, the balance of the total sum recoverable shall be deducted from any sum due to the Conversion Agent under this or any other contract with the company. Should such sum also be not sufficient to cover the full amount recoverable, the CA, on demand, shall pay to the company the balance due.

h) Wherever the B/Gs falls short of the amount specified in clauses above by the virtue of any recoveries made by SAIL, the Conversion Agent shall enhance the value of B/Gs within 15 days so that the total amount of security shall not at any time be less than the specified amount.

i) BG will be released to the Tenderer on termination/expiry of the contract on his production of:

-No demand certificate from Railways in favour of the Company (to be obtained by the Conversion Agent). -No pending demands from statutory authorities like Income-tax etc.
-No claims certificate in favour of the Company.

j) Upon any default by the CA in the observance or performance of work under the contract, the company may without notice and without prejudice to any other right, recover the amount(s) and appropriate the same from the Security Deposit and/ or the B/G and the Custody and Indemnity Bond towards the settlement of all loss or damage.

7. **Payment of Bills:**

a) Payment to the CA for the jobs performed shall normally be made on fortnightly basis on the quantity delivered.

b) For release of payment against Conversion, CA shall submit documents like the following for verification by dealing officer and finance executive of the Branch in respect of correctness of the quantities billed for, the rates and recoveries in respect of materials released to him and other terms and conditions of the contract :

i) Bills of Conversion Charges,
ii) Copies of Delivery Challans,
iii) Copies of Excise Invoices issued under extant excise rules pertaining to (ii) above and
iv) Test Certificates pertaining to the deliveries at (ii) above.
v) Stock cum Sales Statement.

c) The Conversion charges shall be paid on a fortnightly basis.

8. **Metal loss**:
a) For every tonne of Semis supplied, CA shall have to return 0.95 MT of tested finished product.

b) If the CA is able to deliver higher yield (exceeding 95 % of material handed over) of finished product in standard length (10-13 Metres) for TMT Bars then SAIL will pay bonus @ equal to the prevailing selling price of SAIL for the concerned item minus Rs. 200 per tonne in respect of such excess quantity. The Selling Price of the product will be decided by the concerned Branch Manger, communicated on a monthly basis and shall be final. No claim for such quantity or rate would be referable for adjudication

c) In case CA fails to supply 95 % of the input as finished products, SAIL shall recover the value of the shortage of finished product at the prevailing selling price by SAIL of the items having highest selling price in the contract. The decision of the Branch of SAIL will be final in this regard.

d) The arisings including the short length may be disposed by the CA on monthly basis after due inspection by SAIL officials.

9. **Revision of rates:**
The Conversion charges shall be kept valid/firm for three years from the date of issue of work order or one year of operation, whichever is earlier. The charges would be revised annually thereafter based on the escalation/de-escalation formula laid down as under. One year of operation shall be taken into account the day SAIL starts supplying Billets to CA for TMT

At the end of one year of operation for the TMT mill, the CA charges will be revised based on the following weightages and neutralization for each of the components:

FOR TMT CONVERSION

Components	Weight	Neutralization	Basis
Labour	10 %	100 %	Min or statutory Wages as per notification of labour department of the concerned state government for Unskilled labour.
Fuel (furnace Oil)	15 %	60 %	**IOC Nearest Retail outlet**
Diesel	5%	60%	IOC Nearest Retail outlet
Electricity	25 %	60 %	Unit electricity rate as per the
			Electricity provider Company/ SEB in the concerned locality/specific to the Industry/ segment.
Overhead	30 %	50 %	RBI Average Index Number(s) of Whole Sale prices in India – by Groups and Sub Groups of Machinery and Machine Tools, and Transport Equipments and Parts, on a simple average basis.
Profit	15 %	Nil	

The base indices for the above elements will be considered as on a date which is 15 days prior to the date of opening of the tender. The revision of rates will be permitted annually and will apply from the second year of operation of TMT .. The escalation/de-escalation will be calculated on the index which will be 15 days prior to the beginning of the second year of the operation of TMT respectively. It will apply similarly to the subsequent years, for contract period.

10. **Sales tax and Excise duty:**

a) The CA shall, in accordance with prevailing procedure prescribed by Sales Tax and Excise Authorities, comply with all necessary formalities such as Registration with Sales Tax; Excise Dept. etc. as also shall undertake the documentation and timely furnishing of return as stipulated by Excise Authority.

b) The CA shall ensure that the delivery of converted/finished products is made after payment of the excise duty as applicable. **The CA shall ensure that the applicable excise duty is paid within due date as per Excise law on delivery of converted/finished products.**

c) The CA shall be reimbursed the differential between Excise Duty deposited on the finished products and credit of Excise duty availed on Semis. supplied by SAIL, subject to Excise law in force upon submission of **proof of payment along with the bills**.

11. Guarantee of work & penalty:

a) SAIL shall utilise 6000T capacity for TMT Mill of the CA on a monthly basis. While certain dia/ section--wise percentage breakup may be indicated in the tender in order to indicate the extent of output desired in each size/ size range, a consolidated rate will be obtained for TMT in the rate schedule .The actual percentage of work in the specific diameter range can vary.

b) If SAIL fails to supply Semis for conversion upto 54000 T for TMT Bars of CA capacity, (the minimum guarantee per annum), 60 % of the Conversion charges per tonne for the quantities short supplied from the minimum guaranteed quantity shall be paid to the CA as per the example given below:

Example: If 2000 T will be the short supplied quantum w.r.t. minimum guaranteed quantity and assuming the Conversion charge is Rs. 2500/- per tonne of finished product then penalty payable will be Rs. (60 % of 2500 X 2000 T x 0.95).

However, Force Majeure provision shall be invoked if supply of Semis is affected due to conditions like strike, lock out, natural calamity etc. or due to any other act beyond its control and no compensation shall be payable in such an eventuality.

c) The CA shall have to ensure above minimum monthly production (i.e upto 6000 T for TMT bars of CA capacity) failing which penalty equal to the conversion charges per tonne in respect of the shortfall in the volume with reference to the minimum guaranteed quantity per annum shall be paid by the CA, in a manner similar to the example given below.

Example: If 2000 T will be the short supplied quantum of finished product w.r.t Semis supplied by SAIL and assuming the Conversion charge is Rs. 2500/- per tonne of finished product, then penalty recoverable by SAIL will be Rs. (2000x0.95x2500).

In case force majeure conditions like strike, lockout, natural calamity etc. affects totally the production in the CA plant, penalty commensurate with the period in which production was suspended due to force majeure conditions, the same can be waived with the approval of SAIL. In such an event, Conversion Charges shall not be payable by the company in respect of the shortfall quantity, if any, towards minimum guaranteed volume.

d. While the above penalties on either side shall be calculated on a monthly basis, there shall be a makeup clause of a quarterly basis on either side, for the purpose of actual payment / recovery. In other words, shortfalls during a month or two during the quarter under consideration can be made good during the quarter as a whole.

e) No provision has been envisaged for back to back penalty in case damages are suffered by SAIL on account of LD clauses.

12. Basis for determining Excess/shortage:

i. The weight of the rerollables as recorded in SAIL Stockyard Challan(s) shall be the basis of the quantity received by CA. In respect of supply of re-rollables directly from the Steel Plant(s) of SAIL, the quantity as indicated in the Consignment Advice shall be the basis of receipt of the said material by the CA(s). However, in case of delivery of finished products from CA's premises, the weight recorded in their weighbridge shall be accepted. For this purpose CA shall get his /their weighbridge(s) duly certified at regular intervals by the Inspectors of Weights & Measures, Deptt. of the Govt. The CA shall have an

AMC to ensure the weigh-bridge at their premises is in order.

ii. In case of stock transfer of converted products from CA premises to any of the SAIL's warehouses/ stockyards the weight as recorded at SAIL's warehouses / stockyards shall be final.

iii. In case of delivery from CA premises to the customers, the weight recorded in the weigh-bridge of the CA shall be accepted.

iv. In case of delivery from CA premises on to the vehicle of the SAIL authorized transporter either for stock transfer or delivery to customers, the weight recorded in the weigh-bridge of the CA shall be accepted**.**

v. In case of stock transfer of converted products from CA premises to the SAIL stockyard by the CA himself, the weight as recorded at SAIL's warehouses / stockyards shall be final.

vi. The CA shall have to compensate SAIL on the shortages found, if any, at the prevailing rate of SAIL applicable for highest priced finished converted product within the production range as contracted between SAIL and the CA. Shortage/excess exercise shall be carried out at the end of every year or contract period whichever is earlier.

13. **Monitoring of conversion:**

SAIL may at its sole discretion post its employee(s) in the premises of CA plant to oversee the conversion activities. However, this will not dilute the responsibility of the CA to ensure proper utilisation of Semis supplied for conversion, process inspection including sample testing, and quality control of converted materials. Visits and support from SAIL's technical staff shall also exist. Third party inspection agency would also inspect the process activities.

14. Inspection and Quality control:

1. To ensure that all materials despatched to customer/other Branches conform to the BIS specification, regular inspection/testing is to be carried out by CA as per BIS norms. The CA shall have facility for **microstructure** study **with photographic facility for analysis**. They will have to keep regular samples along with the photographs of microstructure on every 100 Metre of rolling for TMT Bars In addition, representatives of SAIL will be visiting CA's premises for inspection of the following, from time to time:

i) Whether finished materials are produced out of raw material given by SAIL for conversion unless otherwise specified.
ii) Sample analysis for confirmation of mechanical properties.
iii) Converted products are despatched to the customers/SAIL's allottees exactly as per description given in the D.O.
iv) Verification of stock and calibration of Weigh Bridge by the weight and measure department of the state.
v) To inspect as to whether documentation through the SAIL's ERP /SAP System is being effectively managed. (The roles and responsibilities of Third party inspection Agency for Conversion is as per **Annexure-XII**.)

It has been envisaged that the quality of finished converted products would be assured as they would be produced from the Semis supplied by SAIL only. Proper traceability of the finished products would be maintained with the Semis. Employee(s) from SAIL would be posted at the premises of CA who would, over-see the conversion activities. The role and responsibilities of Conversion Incharge has been mentioned in **Annexure XI**. 3rd party inspection will be carried out, and the charges shall be borne by SAIL.

2. Issuance of Test Certificates:
On appointment, CA shall apply to the BIS to obtain permission for allowing issuance of Test Certificate in the name of SAIL.

i) Copy of the agreement between SAIL and CA shall be provided by the CA to the BIS unit which has granted license to the rerollers.

ii) Test Certificate shall incorporate the following in addition to the regular Information:

a) Name, address of the CA, ISI mark and their BIS license number.

b) SAIL logo and the brand name.

c) The draft format of TC as per **Annexure-X**

iii) The draft of TC may be got approved from BIS, as per jurisdiction of the marks area of BIS.

iv) After obtaining approval from BIS the final format of TC would be approved by PMG Head Quarter, Kolkata for the purpose of uniformity.

Executives of SAIL would have the right to make frequent visits to the premises of CA, to examine the processing of materials, as also to check the records being maintained by the CA and oversee deliveries being effected. CA is to extend necessary help and facilities to the executives of SAIL and also to BIS/any other Inspectors, as and when they visit the premises of the CA for this purpose.

Holding of a valid BIS License is a requirement of the contract. Therefore, whenever it is found that the BIS License has been suspended by the concerned authorities, the Branch Manager of the concerned Branch should take immediate steps to suspend supply of input materials (viz. Semis) and suspend rolling operation until the license is reinstated / revoked. In case there is a delay of more than 30 days in revoking of the suspension, action may be taken for removal/disposal of the inventory of Semis and finished products by the concerned Branch, from the premises of the Agent at his cost. The Conversion Agents would also be liable for any losses on account of non-certified (BIS) finished materials if any. Concerned RM would get the matter reviewed before according approval for resumption of the activities. Other terms and conditions remain unchanged.

A quarterly report on performance of CA is to be submitted by the Branch Executive, and AE of the Region to the concerned RM (LP)/ FP, who will take appropriate action with respect to short-closing of the contract, if necessary.

15. **Quality Complaints and its settlement:**

a) CA shall be responsible for all the losses/damages and deterioration caused to materials while these are in custody of CA. The materials shall be deemed to be in the custody of the CA as soon as the Railway Receipts/Consignment Advice/Stock Transfer Challans are handed over to CA. Such loss/damage/deterioration and/or pilferage in the CA's premises/custody will be compensated in full by the CA. Assessment of loss made by SAIL on damage/deterioration to the materials in the custody of the CA shall be binding on the CA.

b) The CA shall be informed about the QC in writing or over phone by SAIL. Any quality complaint received from the customers for converted products supplied by CAs shall be inspected by SAIL & their decision on the matter will be final & binding on the CAs.
c) Converted products returned under quality complaint shall be disposed by SAIL and CA will be responsible for paying to SAIL the loss in realization on account of quality complaints.

d) In case of any rejection of finished products by 3rd party inspection, such materials will be taken back by SAIL for disposal. The loss in realization and transportation cost for taking back such materials shall have to be borne by the CA.
e) CA will have to settle the loss on account of QC / materials rejected by 3rd party inspection agency within seven days of the intimation by SAIL of such loss. In case of failure, the same shall be recovered from the pending /forthcoming bills of the CA.
16. **Embossing:**

a) All converted products produced from SAIL Semis only by CA will be 100% embossed as per SAIL specification as specified by SAIL from time to time.

b) The CA shall have to undertake 100% embossing of the converted materials as per design and direction given by SAIL.

c) To have embossing of TMT for branding purposes the rolls will have to be **cut as per SAIL design by machines like SPARKONIX by the CONVERSION AGENT.**

d) Any material produced from the Semis purchased from the market i.e. other then SAIL supplies, will not carry either the name or the brand of SAIL.

17. **Reports & Returns:**

a) The CA shall keep proper daily account of the converted or finished products wrt. quality, size, quantity, length of Semis rolled, actual size, quality, quantity of converted /finished products, actual yield test results, inspection notes etc. and arrange for delivery of material against original delivery orders issued to our customers of SAIL or to their representative against proper letter of authorization, copy of which are to be properly retained.

b) The CA shall keep delivery order register indicating therein SAIL’s delivery order(s) number and date, names and addresses of customers, size, quality and quantity of materials indicated on the delivery orders as well as actual materials delivered to the allottee(s) against specific challan number and date.

c) The CA shall furnish weekly conversion returns as per our prescribed proforma (**Annexure-A**)

d) The CA shall, for every delivery to our customers, raise **four copies** of invoices meant for following purposes:

-The original **being marked as ORIGINAL FOR BUYER** shall be handed over to the customer
-The duplicate copy **being marked as DUPLICATE FOR TRANSPORTER** shall be handed over to the transporter of finished goods
-The **triplicate** copy **being marked as TRIPLICATE FOR ASSESSEE** shall be retained **by the Conversion Agent.**
-The fourth copy **being marked as 'NOT FOR CENVAT PURPOSES'** shall be sent to the concerned branch.
-Every invoice shall clearly indicate the amount of excise duty paid.
-Every invoice shall invariably bear signature of CA or his duly authorized representative and the signature of the authorized representative of our customer. The details of the invoices shall be entered on the reverse side of the delivery order immediately on each delivery.

e) The Tax Invoice (Not for CENVAT) shall also be generated by the CA in t**hree copies** on the stationery of SAIL through the CMO ERP connectivity provided by SAIL. For this purpose the CA shall be required to own suitable computers and also make arrangement for Internet connectivity for availing connectivity to SAIL/CMO's ERP System under the acronym "SAMADHAN.". In the Tax Invoice Just below the word "TAX INVOICE", the Words "NOT FOR CENVAT PURPOSES" shall be printed in bold letters.

-The original copy of Tax Invoice **being marked as "ORIGINAL BUYER'S COPY"** shall be handed over to the customer -The next copy **being marked as "SELLER'S COPY"** shall be sent **to the concerned Branch.** -The extra copy **being marked as "EXTRA COPY"** shall be retained **by the Conversion Agent.**

f) The CA shall, on completion of delivery against each delivery order, return executed delivery order(s) along with a copy of the related invoice to the concerned branch offices.

18. **Liabilities of the Conversion Agent (CA):**

a) The CA shall comply with all the statutory requirements towards fulfillment of all the obligations under all the prevailing labour laws and other applicable laws. The CA shall indemnify SAIL against any claim that may be made on SAIL arising out of any non-compliance of above statutory requirements by CA.

b) CA shall be responsible for any injury/damage caused by him or his agents to any man and material at his premises as well as when materials are in transit. The CA shall indemnify SAIL against any claim that may be made on SAIL arising out of any negligence or otherwise on the part of CA and/or his agent.

c) CA shall not assign any part of this contract to any other CA without prior clearance and permission from SAIL in writing to this effect.

d) In case of inability on the part of CA to perform to the full satisfaction of SAIL under this contract, SAIL shall have the right to terminate the contract on serving due notice and appoint another CA for the same job at the cost and risk of CA .

e) The CA will be held responsible for damage caused to materials, inside the Conversion premises by his/their staff, transport, equipment, etc., employed by him/them or any injury/death caused to the customer(s), visitor(s) and employee(s) in the Conversion premise as also to any other third parties. The claim(s) in this regard as assessed by the company shall be final and binding on the CA and shall be paid by him/them or deducted from his/their dues/bills.

f) The provisions of above Clause (e) shall also apply to assessment of damage caused to materials due to negligence of the CA during the performance of various operations covered by the contract. The decision of the company as to the extent of damages and the amount recoverable from the CA in this regard shall be final and binding upon the CA. No materials will be allowed to be stacked / kept outside the premises or on the road within the yard or at places where it might impede the free movement of traffic.

g) The company is not obliged to provide the CA with any equipment for transporting, handling and storage of different types of materials and the CA should employ his / own / hired equipment and manual labour for the same.

h) In the event of the CA 's failure or default to provide sufficient equipment and timely labour at any time to do any of the jobs entrusted with him / them under the contract or in the event of the CA , unilaterally terminating the contract, the company shall have the right to get the work done through alternate arrangements, and all the charges and expenses incurred by the company in this behalf shall be recovered from the CA either from his/their bill(s) or from any other amount(s) payable to the CA , either under this contract or any other contract with the Company and /or by encashing the Bank guarantees furnished under this Contract.

i) The CA shall be solely responsible for any injury/ damage that may be caused to his personnel and should provide full medical treatment to his staff and labour in case of accidents on duty. SAIL shall in no manner be liable to the CA or any member of his staff or any other person for injuries or death caused as a result of accidents either within or outside the yard premises in the courses of work and / or arising out of work.

j) Whenever the contract expires / is terminated, the CA shall be required to submit the following documents failing which his final payment as well as release of Security Deposit, Bank Guarantee would be withheld till such the requirement mentioned below are met by him in full:

- No demand Certificate from Railways in favour of SAIL (to be obtained by the CA).
- No pending demands from statutory authorities like Labour Deptt. (in respect of PF, Gratuity, compensation to workmen etc.)
- No dues certificate in favour of SAIL.

In case the Conversion fails to submit the above mentioned documents within a reasonable period, the Company would be within its right to forfeit / appropriate any amount of the CA lying with the Company to his credit either under this contract or any other contract towards settlement of the claims of the above mentioned Agencies.

k) In the event of the CA 's failure to execute the work under the contract to the satisfaction of the company, the company shall put the CA on notice calling upon him to execute/complete the work strictly in terms of the contract, within the time stipulated in the said notice and upon the CA 's failure to comply with the same within the prescribed time, the company shall be entitled to terminate the contract, and/or offload the work or items of work so defaulted to any other alternate agency at CA 's risk and costs. The CA shall immediately pay to the company the differential, if any, in the costs and expenses so incurred by the company, within the time prescribed by the company failing which the company shall recover and appropriate from any amount payable to the CA either under this contract or any other contract without any reference to the CA and / or by encashing the guarantees furnished under this contract with the Company.

l) On termination of the contract for any reason whatsoever or completion of contract, the CA will have to handover all company's properties and documents including stocks produced out of SAIL's material and obtain a clearance certificate from SAIL before the Security Deposit can be claimed and / or Bank Guarantee custody cum Indemnity Bond returned / discharged. The refund of Security Deposit, Bank Guarantee and custody cum Indemnity Bond would be subject to his fulfilling the conditions indicated at clause above.

m) Any sum of money due and payable to the CA including Security Deposit under the contract may be adjusted and appropriated by the company and set off against any claims of the company for the payment of any sum of money arising out of this contract or any other contract.

n) The CA shall pay his labour (male or female) not less than the minimum wages prescribed by the Minimum Wages Act, or such minimum wages as may be prescribed from time to time by the Government.

o) The CA shall perform and observe all the provisions relating to the Workmen's Compensation Act.

p) The CA shall be liable for any injury or death arising out of any accident either within or outside the yard in the course of work. The CA shall be responsible for such contingencies and will make good all claims for compensation claimed by his / their labours / workmen or others as adjudicated by the Tribunal / commissioner of Workmen's compensation and/or any other Authority as the case may be under the provisions of Workmen's Compensation Act and other relevant laws of the land. The CA shall also indemnify the company and pay all such sums as may be awarded in respect of claims for compensation arising out of or in consequence of any accident of any staff or labour working under him / them as per the provisions of the workmen's compensation act or any subsequent modification or amendment to the said act thereof.

q) The CA shall also carry out and observe the provisions of all other laws and other applicable Acts and Statutes in respect of the said operations and also indemnify the company of any liability that may be imposed upon the company for non-observance of the CA of any of the provisions of the various Laws/ Act /Statutes or for the CA 's failure in ensuring the compliance as aforesaid, and shall keep the company indemnified and reimburse and discharge all sums that may be claimed by appropriate authorities in any manner whether as penalty, fine, levy demands or compensation fee, arising out of or consequent upon the breach of the requirements and provisions of any statute(s), Law, Rules and Regulations by the CA / or his representative.

r) The CA shall be liable for all complaints and / or claims made by and received from company's customers due to any default or negligence on the part of the CA or his representative or workmen.

s) The CA shall provide the representative(s) of the company suitable office accommodation and necessary secretarial assistance in the discharge of his duties.

t) The CA shall be further liable for all the losses that might be caused to SAIL on account of any of the breach of contract or misconduct as stated above.
u) Proper security shall have to be made by the CA at their costs for the safe custody of materials supplied by SAIL. Any loss, damage or deterioration whatsoever and/or pilferage in premises/custody of CA(s) shall be solely to the account of the CA and they will be bound to compensate SAIL suitably for such loss, damage and/or deterioration.

v) Suitable arrangement for computer and net-working shall be provided to the TPIA officials by the CA for maintaining records including downloading of test result data.

w) The CA would be contractually bound to provide separate identified space for storage of both input material and output finished products to avoid any possibility of mix-up.

19. **SPECIFIC OBLIGATIONS OF THE CA WITH REFERENCE TO ROLLS MANAGEMENT'**

19.1 EMBOSSING OF ROLLS:

The CA must acquire stipulated machines for embossing as per contract before commencement of the contract

b) Embossing shall be carried out by CA only with the machines specified in the contract and would be done only in the presence of SAIL / TPIA officials. Embossing shall be strictly in conformity to the design given by SAIL.

c) CA would be obliged to make all arrangements to enable monitoring and supervision of the entire process of rolling right from input semis to the finished products including the activity of embossing.

d) In no case, CA should roll any material in the absence of TPIA, who in turn must also ensure they are invariably present during the rolling of semis. For the same, rolling plan must be communicated by the Conversion Agent to TPIA in writing in advance for witnessing the rolling. For rolling in the absence of TPIA, prior written permission of SAIL would be required.

19.2 DEFACING OF ROLLS

a) All rolls carrying SAIL embossing shall be defaced not only at the end of the contract but also as soon as the life of the embossing rolling is worn out. The defacing shall be such that under no circumstances the roll pass can be utilized at a later date.

19.3 RETENTION OF ROLLS

a) CA shall make suitable and adequate arrangements for storage of the embossing rolls under security in a box sealed lock & key arrangements. Keys of the locking arrangements would be under the responsibility of TPIA / SAIL officials. Under no circumstances such rolls will be accessed / used in the absence of TPIA / SAIL officials.

b) Management of embossing rolls - The CA shall maintain records of the number, identity and status of embossing rolls till the end of its life and the same shall be made available to the TPIA and SAIL.

20. **Banning of Business Dealings**

a) SAIL reserves its rights to ban business dealings if the CA is found to have committed misconduct as also to suspend business dealings pending investigations. Further, in case the CA, his partner, member, servant, labour, agent, representative and/or any person working for and on behalf of the CA is found involved in any unauthorized, or wrongful removal of materials not sold or in any attempt for such removal using the mill capacity for their own production/marketing need of finished product, using SAIL logo or reputation or brand name for marketing of their own product, this shall amount to breach of contract as well as misconduct caused by the party and Company shall be entitled to forfeit the Security Deposit and any other amount, money or material that may be lying with SAIL at the risk and cost of the CA in addition to suspension/ banning of the business dealings . No charge will be payable by SAIL for the suspended business period.

b) The decision of the Chief Executive of the Central Marketing Organisation, SAIL will be final and binding on the CA on all such cases. The expression, the Chief Executive of Central Marketing Organisation, SAIL, means the Director (Commercial) or any other person delegated to exercise powers in his absence from duty or due to his non-availability for any other reasons, whatsoever.

c) Notwithstanding anything contained in previous paragraphs, SAIL shall reserve its right to terminate/short-close the contract summarily in case on enquiry it is found that the CA has committed misconduct /malpractice in connection with present contract. In that event SAIL shall reserve its rights to suspend business dealings in relation to other contracts also.

21. **Responsibilities of CA upon Completion/Termination of Contract:**

On completion / termination of the contract for any reason whatsoever, the CA shall have to hand over all properties and documents belonging to SAIL. SAIL would ensure defacing of the rolls by processes like grinding / welding which would make further use of SAIL Logo impossible. Such confirmation must be available as mandatory requirement before settling dues of the CA at the end of a contract. The unadjusted portion of Security Deposit shall be released by SAIL to CA subject to (i) his production of ‘No Demand Certificate’ from Railways in favour of SAIL (in case of receipt of materials by Railway Wagons, (ii) adjustment of claims / dues by SAIL from CA for unsatisfactory performance / lapses on the part of the CA if any, in the particular contract and (iii) No pending demands from statutory authorities like Income Tax, Labour Deptt. (in respect of PF, Gratuity, compensation to workmen etc.) and the like and (iv) on his obtaining clearance of both SAIL Branch officials as well as TPIA officials relating to defacing of embossing rolls before the closure of the contract.

22. **Losses / Damages:**

a) The CA shall be responsible for all losses/ damages / deterioration’s caused to the materials, when the materials are in CA’s custody, including losses if any, caused during transportation and handling by the

CA. The materials shall be deemed to be in the CA's custody as soon as the Railway receipts / Plant Consignment Advises / Stock Transfer Challans are handed over to the CA by the Company, irrespective of the fact whether the materials are in transit or are actually received by the Conversion Agent.

b) The receipt of materials shall be accounted for by the CA on the basis of the quantities despatched by the Company as per the Consignment Advice(s) / Stock Transfer Challans issued by the Company. The CA shall be accountable to the Company for the entire quantity as mentioned in the Conversion Advice(s)/ Stock Transfer Challans and no claims for shortages would be entertained by the Company other than the yield loss of 5 %. The CA is to accept the Company's practice of determination of weight for despatch by the plants/ Stockyards and for despatch by the Company's Transport & Shipping Branches and for deliveries / despatch from the Company's stockyards /Consignment Agents premises etc., as prevailing from time to time.

c) The CA shall not hypothecate and / or charge and / or encumber in any manner whatsoever the materials despatched to / stored by him either in full or in part to any bank, a financial institution or association(s) or Company or firm as security or otherwise.

d) The CA shall not suffer any injunction and / or attachment and / or appointment of Receiver in respect of the Company's materials despatched to / stored by him.

e) No cognizance will be taken by the Company of the cases where Railways refuse to accede to the CA's request for open delivery or delivery after reweighment or for issue of shortage certificate or for witnessing inspection, by independent surveyor. It will be CA's responsibility to handle such cases.

f) CA has to account for total weight charged in the Consignment Advice(s) / Stock Transfer Challan(s) as mentioned above and no claim will be entertained for any shortage whatsoever.

23. **Tenure / Termination of the Contract:**

a) The contract will be effective for a period of five years, from the date of work order, extendable by three years at a time up to a period of 8 years (5+3) with mutual consent, subject to availability of Billets from SAIL and satisfactory performance of CA.

b) The company shall have the option to terminate the contract at any time at its sole discretion **due to non-performance/ misutilization by** giving 60 days notice in writing and without payment of any compensation. **The clauses for nonperformance/ misutilization have been stipulated elsewhere in the contract. For termination for reasons other than above, there would be a notice period of 120 days on both side and termination can take place without payment of any compensation**. Both the parties to this agreement shall have to settle their account within the notice period.

c)) The viability of converted product will be assessed every 3 months and in case of negative realization, the contract will be terminated if

i) the realization continues to be negative after 6 months.

ii) the negative realization is not compensated in the conversion cost by the conversion agent at the end of 6 months

iii) the negative realization is not covered by the BG (Security Deposit)

In this case SAIL will stop supplying semis and will exercise the option of termination with 60 day's notice without payment of any compensation and without assigning any reason

d) In the event of the CA's failure to discharge his duties stipulated in the contract, to the satisfaction of the company, the company may terminate the contract summarily and without notice.

e) Contract of CA who are found to be misusing SAIL Brand name / Logo can be summarily terminated without any notice.

e) In the event of the contract being terminated in exercise of the rights under the clauses mentioned above, the CA shall not be entitled to claim any special or general damages from the company on account thereof.

24. **Alternative arrangement**

a) If at any time during the continuance of this Contract, the company is of the opinion that in the best interest of its business, it is necessary to take possession of the materials from the CA's custody, the company may forthwith issue notice to the CA and take possession of the materials by physically removing the materials to such places as the company may decide in this regard.

b) The CA however will be entitled to claim the charges as due to him under the provisions of the contract upto the point of final removal of the material from his premises. The CA shall extend all cooperation as may be required by the company in exercise of its right to secure its materials.
c) The company may also, if necessary, and if the exigencies of situations so warrant make its own security arrangement over the materials in addition to the arrangement of the CA. This however, will not absolve the Conversion Agent from his duties and responsibilities under the contract.

25. **Liabilities / Obligations on Expiry / Terminations:**

Notwithstanding the expiry / termination of the contract the liabilities and obligation of both company and the CA as set out herein will continue to be in force, until all the materials supplied / despatched by the company to the CA upto the date of the said expiry / termination are delivered by the CA. After termination / expiry of the contract, the materials if any, lying in the CA's yard shall be lifted by the company within two months from the date of the termination of the contract and the Conversion Agent shall be responsible to arrange delivery of the materials as directed by the company for which the CA shall be entitled to claim remuneration as is due to him under the provisions of the contract.

26. THIRD PARTY INSPECTION AGENCY'

26.1 To take care of specific requirements of the customers on quality aspects, inspection by outside agencies like, Lloyds, SGS, RITES, etc., shall have to be carried out mandatorily at the CA premises, the cost for which shall be borne by SAIL. The roles and responsibilities of Third Party Inspection Agency will be as per **Annexure-XII**.

26.2 Activities related to ensuring traceability of material contained in the roles and responsibilities of the TPIA shall be binding upon the Convrsion Agent.

26.3 TPIA will undertake stamping of the material just after rolling.

26.4 Supervision of embossing process and its monitoring / safeguarding of rolls would be within the purview of the TPIA.

26.5 TPIA should not certify any material, rolling of which they have not witnessed.

26.6 In addition to regular day to day testing by TPIA, surprise / spot checks needs also to be carried out by the TPIA. Results of such surprise / spot checks should be taken into account for acceptance / rejection of the materials rolled by CA

27. **Resolution of Disputes:**

27.1 In the event of any dispute/difference whatsoever arising between the parties relating to or arising out of the contract; the parties shall endeavor to resolve such dispute through conciliation as per provisions of the Arbitration and Conciliation Act 1996.

27.2.1. **Conciliation :** Any dispute or difference whatsoever arising between the parties relating to or arising out of Contract, shall be settled first by conciliation in accordance with the provision of the Arbitration and Conciliation Act – 1996 and the Settlement so rendered between the parties in pursuance thereof shall be final and binding on the parties.

27.2.2. In case conciliation fails, all questions, claims, dispute s or differences of any kind whatsoever arising between the parties relating to or arising out of the contract shall be referred by the parties hereto for the decision by a Sole Arbitrator to be appointed as hereinafter mentioned.

27.2.3. The notice regarding the invoking of the arbitrator clause shall be served by registered post and addressed to the Chief Executive of Central Marketing Organization, Steel Authority of India Limited, Ispat Bhawan, Lodi Road, New Delhi.

27.3.1 Matters in question, dispute claim or differences other than the excepted matters shall be referred for decision to a Sole Arbitrator to be appointed by the Chief Executives of Central Marketing Organization, Steel Authority of India Limited, (by whatever name he may be designated at the relevant time). However, before appointing the Sole Arbitrator the Chief Executive of the Central Marketing Organization, Steel Authority of India Limited shall notify the CA three names out of which one can be appointed as the Sole Arbitrator with the consent of both the parties, failing which after 15 days of the issuance of the letter informing three names the Chief Executive shall have the power to appoint one of the persons out of the three names so notified as the Sole Arbitrator, which will be final and binding on both the parties.

27.3.2 In this clause, the expression the Chief Executive of Central Marketing Organization, Steel Authority of India Limited means the Director (Commercial) or any other person delegated to exercise the authority and the power of the Director (Commercial) due to his absence on duty or due to his non-availability for any reason whatsoever.

The Arbitrator, so appointed, shall adjudicate upon all the disputes between the parties hereto.
27.3.3 The Arbitrator shall hear the cases independently and impartially and shall not represent the interest of any party.

27.3.4 The question of procedure for conduct of the arbitration proceedings shall be decided by the Arbitrator in consultation with the parties before proceedings with the reference. The Arbitrator may hold preparatory meeting (s) for this purpose. In the preparatory meeting(s) as aforesaid, the Arbitrator in consultation with the parties shall also determine the manner of taking evidence the summoning of the expert evidence and all such matters for the expeditious disposal of the arbitration proceedings.

27.4 **Excepted matters** as per the contract shall not be the subject matter of Conciliation/ Arbitration.

27.5. The Court at Patna shall have jurisdiction over all matter of dispute

27.6 The venue of the Arbitration shall be the place where the Contract is concluded, or at Kolkata being the Headquarters of the Central Marketing Organization of SAIL.

27.7 Work/supply under the contract shall be continued by the CA under the contract and pending Conciliation/Arbitration proceedings and recourse to Conciliation/ Arbitration shall not be bar to continue with the work/supply.

27.8 The provision of the Arbitrator and Conciliation Act, 1996 and rules framed thereunder, if any, and all modifications/amendments thereto shall deem to apply and/or to be incorporated in this contract as and when such modifications / amendments to the Act/Rules are carried out.

28 General:

a) Proper security shall have to be made by CA at their costs for the safe custody of materials supplied by SAIL. Any loss, damage or deterioration whatsoever and/or pilferage in premises /custody of CA shall be solely to the account of CA who will be bound to compensate SAIL suitably for such loss, damage and/or deterioration.
b) CA shall not receive or accept any payment from customers of SAIL.
c) SAIL may post their employee(s) at the premises of CA who would, over-see the conversion activities. The TCs issued will be countersigned by the executive concerned.
d) At the end of contract period the rolls are to be disfigured to erase impression of embossing and refund / return of Security deposit and BG/ Custody & indemnity bond shall be dependent on SAIL satisfying itself about such defacement.

e) All matters relating to embossing SAIL Brand / Logo and its misuse will be considered as except-able matter and SAIL’s decision on the same will be final and binding on the CA.

f) CA will be contractually obliged to provide all infrastructure facilities (suitable office space with office infrastructure, testing equipment, instruments and gauges and any other facilities) to the officials of the TPIA appointed by SAIL that may be required to facilitate the smooth conduct of the third party inspection.

g) SAIL may give suitable publicity of any misuse of Brand through notice / insertion in newspaper / media upon termination of the contract.

h) Inspection of embossing machines etc. prior to commencement of work would be mandatory in nature.

i. Finished stock must be stored on dunnage of minimum 500mm height and 2 meter spacing to prevent any portion from touching ground. Ground must be with hard stand.

j) No employee of the Company shall handle a case of contract with any of his relations or a firm of which the relation is a partner or a company of which the relation is a Director unless specifically approved by his higher authority on proper disclosure of the fact or relationship.

ANNEXURE-IV

DRAFT APPLICATION FOR SUBMISSION OF TENDERS

To,

The DGM (SPU)
16th Floor Scope Minar
Steel Authority of India Ltd.,
Delhi

Dear Sir,

Sub: Tender for entering into contract as Conversion Agent of Steel Authority of India Limited for Production / Conversion of TMT Bars at HAJIPUR.

1 Subject to the instructions and conditions given in the tender document, terms and conditions of contract and draft agreement annexed thereto, I/We hereby tender for the contract for working as Tenderer for Steel Authority of India Ltd. I/We hereby certify that I/We have examined and am/are familiar with all the provisions of this tender document and agree to abide by all the terms and conditions laid therein.

2 The following certificates/documents are enclosed:

-Certified Copies of the Audited Balance Sheets for last 3 financial years.

- Certified Copy /documents regarding tenderer have produced at least 25,000 TPA of finished Steel product in any one Year of the last 3 Financial years.
- Declaration of ownership of computers,
- Cover sheet indicates my Company's net worth and turnover for last FY 2012-13.
- Documents regarding constitution of the firm/company like partnership deed, memorandum and articles of association, etc.
- Evidence of the authority of person signing this proposal and to a Contract -resulting there from and the requisite Powers of Attorney (if required).

- Certificate from ________________ (Name of Bank) who are my bankers and are a schedule bank about my sound financial standing.
- My self declaration stating that I have the resources to undertake the Conversion job envisaged in the tender.

- Self Declaration as to whether I have any relative within the meaning of Section 6 read with Schedule 1A of the Companies Act 1956, employed in any capacity in SAIL.

- This tender document with all pages intact and duly signed by the authorised person.

3. A sum of Rs._______________ (Rupees ______________________) only is forwarded herewith as Earnest Money in the form of demand draft / PO / Banker's Cheque No._______ drawn on ______________ in favour of Steel Authority of India Ltd., payable at ___________

4. I/We agree to keep this tender open for a period of 120 (One Hundred Twenty) days from the date fixed for opening and the same cannot be withdrawn from the said period of 120 (One Hundred Twenty) days or until a contract for the said work is fully executed, with a third party, whichever is earlier.

5. I/We do hereby declare that the entries made in the tender document and the annexures /appendices attached there are true.

Yours faithfully,

Signature of authorised representative of Tenderer

(Name of the authorised signatory): Tenderer's address: Telephone Numbers: E-Mail Address:

Signature of Witnesses

Address of Witnesses
1.______________________________
2.______________________________

ANNEXURE-V

LETTER OF INTENT (LOI)

To M/s.___________________

Dear Sir,

Sub: Our Tender Notice No…………….dtd…………for conversion of TMT bars under Conversion arrangement at HAJIPUR.

Ref: Your Tender Quotation dt……….. in response to the subject Tender Notice

1 Please refer to your above Tender Quotations opened on ……….as also (strike out whatever is not applicable) the subsequent negotiation held on …….. and/ or your correspondence dated ………… and ………….

2 We have the pleasure to inform you that your above tender has been accepted by us. You are, therefore, requested to submit to us on or before……………, the following documents, amongst others, as already stipulated in the Tender Terms.

Security Deposit, Bank Guarantee as per the Proforma at Annexure-XIII from a scheduled Bank, Custody-cum-Indemnity Bond for due performance of all the obligations under the contract.

Undertaking that they will acquire stipulated machines for embossing as per contract.
Any other documents necessary as per the local conditions

3 You are required to put up the new rolling mills for production of TMT bars out of Semis supplied by SAIL. The mills should be ready within a maximum period of 18 months from date of issue of LOI..

4 In the event you fail to submit the above document(s) within the prescribed time, the acceptance of your tender shall be withdrawn and you will be held responsible for all consequences.

5 On your compliance of the above within the time and prescribed herein, we shall issue you a Work Order enabling you to commence Conversion work envisaged under the contract awarded to you.

6 On noncompliance/ non submission of any of the documents indicated above by the date indicated at para 2 above, the EMD deposited by you shall be liable to be forfeited by the Company and you may be debarred from participating in future tenders for Conversion.

Please acknowledge receipt.

Thanking You

Yours Faithfully
Steel Authority Of India Limited
BRANCH MANAGER

ANNEXURE –VI

PROFORMA OF BANK GUARANTEE FOR
CONVRSION CONTRACT

(On non judicial stamp paper of appropriate value from a Scheduled Bank)
(to be vetted by Finance of Branch Sales Office)

To
Steel authority of India Limited
Branch Sales Office
…………………………….
……………………………..
…………………………….

In consideration of Steel Authority of India Limited, a government Company incorporated under the Companies Act, 1956 having its registered Office at Ispat Bhavan, Lodi Road, New Delhi – 110 003 and also having interalia, one of its Branch Sales office at ……………………………………………………………….(hereinafter called `the Company') having agreed to accept this Guarantee for due security and safe custody of the materials ispatched to M/s. __________________ (hereinafter called 'the said Conversion Agent (CA)') for handling and storage of the iron and steel materials under the Agreement dated _____________ (hereinafter called 'the said Agreement' which expression shall include any formal agreement entered into subsequent thereto or in suppression thereof and all modifications to and amendments in the said Agreement) made between the Company and the said CA for handling and storage of the Iron and Steel materials covered under the said Agreement on furnishing a Bank Guarantee for Rs…………… (Rupees …………………………….) only, we ________________ (Name of the Bank) … (hereinafter referred to as 'the Bank') do hereby undertake to pay to the Company an amount not exceeding Rs……………………………… (Rupees…………………………….) only against any shortage, loss or damage or deterioration caused to or suffered by or would be caused to or suffered by the company in respect of the said materials by reason of any breach(es) of any of the terms and conditions contained in the said Agreement, or for any reason whatsoever.

1 We ………………………………………. Do hereby undertake to pay (name of the Bank) the amount or amounts due and payable under this Guarantee from time to time up to the extent of Rs…………… (Rupees……………………………………………) only without any demur / protest / question, merely on receipt of a demand from the Company stating that the amount (s) claimed is / are by way of loss or damage caused to / suffered by or would be caused to or suffered by the Company in respect of the said materials by reason of any breach of any of the terms and conditions contained in the said agreement by reason of the Tenderer's failure to perform the said agreement or for any reason whatsoever. Any such demand made on the Bank shall be conclusive as regards the amount or amounts due and

payable by the Bank after this Bank Guarantee.

2 It is hereby expressly agreed and declared that the Company shall have the fullest liberty to claim payment of the amount or amounts from time to time under this Guarantee subject to the ceiling limit of Rs. ……………………….. (Rupees ……………………………) only, as referred to above and this guarantee shall not become invalid or in fructuous because of the partial demand(s) made by the company upon us for payment under the circumstances stipulated hereinabove and it is further declared that this Guarantee shall hold good in favour of the Company to the extent of the balance amount covered under this guarantee. It is further agreed and declared that the Company shall be the sole judge of and as to whether the said Tenderer has committed any breach or breaches of any of the terms and conditions of the said agreement the extent of loss and damage, caused to or suffered by or that may be caused to or suffered by the Company on account thereof and the decision of the Company that the said Tenderer has committed such breach or breaches and as to the amount or amounts of loss and damages shall be final and binding on us. Any such demand or demands made on the Bank shall be conclusive as regards the amount due and payable by the Bank under this Guarantee. However, our liability under this guarantee shall be restricted to an amount, not exceeding Rs. ………………….. (Rupees……………………. …………………….) only.

3 We, the said Bank, further agree that the Guarantee herein contained shall remain in full force and effect during the period that would be taken for the performance of the said agreement and that it shall continue to be enforceable till all the dues of the Company under or by virtue of the said agreement have been fully paid and its claims satisfied or discharged or till the Company certifies that the terms and conditions of the said agreement have been fully and properly carried out by the said Tenderer and accordingly discharges this guarantee. Unless a demand or claim under this guarantee is made on us in writing on or before the …………………. (i.e. six months after the date of expiry of the said Agreement) and payment is made by us, we shall be discharged from our liability under this guarantee thereafter.

4 We, the said Bank, further agree that the Company shall have the fullest liberty, without our consent and without affecting any manner our obligations hereunder contained to vary / modify any of the terms and conditions of the said agreement or to extend time of performance from time to time or to postpone for any time or from time to time any of the powers exercisable by the Company against the said Tenderer and to forbear or enforce any of the terms and conditions relating to the said agreement and we shall not be relieved of our liability by reason of any such variation / modification or extension being granted to the said Tenderer or for any forbearance, act or omission on the part of the Company or any indulgence by the Company to the said Tenderer or by any such matter or thing whatsoever which under the law relating to sureties would but for this provision have effect of so relieving us.

5 We …………… (name of the Bank) agree and declare that this Guarantee will be valid and effective for a period of 6 years from the date of its issue and we further agree that the Guarantee herein contained shall not be affected by any change in the constitution of the said Tenderer .

6 We, the said Bank, lastly undertake not to revoke this Guarantee during its currency except without the previous consent of the Company in writing.

Dated …………… day of …………200

For ………………………………………. (name of the bank)

Accepted For & on behalf of STEEL AUTHORITY OF INDIA LIMITED

<u>ANNEXURE – VII</u>

PROFORMA FOR CUSTODY AND INDEMNITY BOND FOR CONVERSION CONTRACT

(To be executed on Stamp Paper of appropriate value) To Steel Authority of India Limited

WHEREAS We have agreed to act as your CA at ………………for conversion of Steel to be handed over to us at railhead/your Steel Plants / Stockyards for proper transportation, storage, handling, offering 72000 T of capacity of the new TMT mill exclusively for SAIL, safe custody and delivery to your various customers against valid delivery orders issued by your BSO at Patna pursuant to the Agreement dated …………………….(hereinafter referred to as the said Agreement')

AND WHEREAS we have agreed to execute a Custody and Indemnity Bond in terms of the said Agreement for and in respect of the Steel materials delivered to us, we hereby declare and state as under:

1. NOW by this Custody and Indemnity Bond we hereby agree and undertake that we shall keep and hold the Steel materials meant for conversion as well as converted steel materials under the said agreement and keep the same under safe custody at our premises located at………… on your behalf and as your property in trust for you.

2. We shall be entirely responsible for the safe custody and protection of the said Steel materials at our risk till the same are duly delivered to your various customers OR as may be directed by you from time to time or at any time and shall indemnify you against any loss, damage or deterioration suffered by you or against shortages whatsoever in respect of said Steel materials delivered to us from time to time under said Agreement while the same remain in our custody. We further agree that the said Steel materials shall at all time be open to inspection by any person ispatched by you.

3. SHOULD any loss or damage or deterioration or shortage occur or refund becomes due and receivable by you, on demand we undertake to compensate or to pay or to refund the amount forthwith and without any deduction whatsoever. You shall be entitled to recover from us compensation for such loss or damage or deterioration or shortage without prejudice to any other remedies available to you by deduction from any sum which at any time hereinafter may become due to us either under aforesaid Agreement or under any other Agreement (s). The amount so claimed by you shall be final and binding upon us.

4. WE further agree and affirm that you shall have the fullest liberty to vary any of the terms and conditions of the said Agreement without affecting in any manner whatsoever our obligation under this Bond and we shall not be released from our liabilities under this Bond by the exercise of your liberty to vary and / or modify the terms of the said Agreement or by reason of any time being given to us or any other forbearance or indulgence given to us or any other act or omission on your part.

5. WE further agree and undertake that we shall not hypothecate and / or change and / or encumber in any manner whatsoever the materials, ispatched to us, either in full or in part to any Bank or Financial Institution or any Association or any company or firm as a security or otherwise.

6. WE further agree and undertake that we shall not suffer any injunction and/or attachment and/or appointment of Receiver in respect of materials either in full or in part, delivered to us.

7. AND we further agree that this Bond shall remain in force till all the obligations under the said Agreement are fulfilled and the accounts relating thereto are finally settled by and between ourselves and yourselves and unless you expressly discharge this Bond in writing the same shall remain valid and in full force.

8. THIS Bond with all its provisions herein contained are in addition to and not by way of limitation of or substitution for any other Bond or Indemnity / Undertaking here before given to you by us, whether jointly with others or alone and now existing uncancelled and that this Bond is not intended to nor shall revoke or limit such Bond or guarantee / undertaking.

9. THIS Bond shall not be affected to any change in our constitution not shall it be affected by any change in your constitution or by any amalgamation or absorption thereof or therewith but will ensure for and be available to and enforceable by the absorbing or amalgamated company or concern

IN Witness whereof we put our seal and signature on this ………… ……….. (day)………………(month)……………………………….(year)

Signed sealed and delivered

By M/s………………………………………

For and on behalf of
………………………………………..
………………………………………..

In the presence of:
1)
2)

ANNEXURE-VIII

WORK ORDER

To, M/s.________________

Dear Sir,

Sub: Our tender Notice No…………………. dtd………………

Ref: i) Your tender No………………..dtd…………

(n) Our letter no. ………dtd………..
(Letter accepting tender)

(o) Your letter No…………….dtd…………
(Letter under cover of which documents indicated in letter accepting tender have been produced by the successful tenderer).

This has reference to your letter no…………dtd………. under cover of which you have submitted the documents as indicated in our letter no………………..dtd………. (Letter of Intent) .We are issuing this work order to enable you to commence the work under the CA arrangement immediately/ on and from………. (Date).

Thanking you,

Yours faithfully, For and on behalf of

STEEL AUTHORITY OF INDIA LTD.

BRANCH MANAGER

ANNEXURE –IX

PROFORMA AGREEMENT FOR CA ARRANGEMENT OF STEEL AUTHORITY OF INDIA LIMITED AT HAJIPUR.

Contract No./Ref.No.______________________________dated___________

THIS AGREEMENT made on this ……….. day of ……………. Between the Steel Authority of India Limited (SAIL) , a Govt. Company incorporated under the Companies Act, 1956 having its registered office at Ispat Bhavan, Lodi Road, New Delhi 110003 and also having interalia one of its Branch Offices(BSO) of its Central Marketing Organisation (CMO), at ……………. Hereinafter referred to as 'The Company' (which expression shall wherever the subject or the context so requires shall include its successors and assigns) of the ONE PART AND M/s. ……………………………. A Company/Partnership Firm or Proprietorship Firm (as the case may be) having their Registered Office/principal place of business at ………hereinafter referred to as 'The Succssful Tenderer/conversion Agent /CA' (which expression shall wherever the subject or the context so requires shall include their successors and permitted assigns) of the OTHER PART.

WHEREAS the Company has issued advertisement for appointment of Conversion Agent (CA) at……… on the terms and conditions as specified in the Tender documents as well as in its annexures.

AND WHEREAS the Tenderer has submitted the Tender for appointment of Conversion Agent as per the terms and conditions and rates specified in the Tender which has been accepted by the Company and the job of Production/ Conversion of steel materials at …………(place) has been awarded to the Tenderer vide its Work Order No………………..dated ……………………

AND WHEREAS it has been considered necessary and expedient to incorporate the terms and conditions as contained in the Tender documents in an instrument in writing.

NOW THESE PRESENT WITNESSETH and it is hereby agreed to and declared by and between parties hereto as follows:

1. In consideration of the payments to be made by the Company in terms of the contract, the Successful Tenderer covenants and agrees with the Company to undertake the job of Production/ Conversion of Steel materials at Hajipur in the manner required and the Tenderer agrees to do all such Conversion job strictly as per the terms and conditions as are mentioned in the Tender documents referred to in the various Annexures as under.

2. The various Annexures set out below and hereby annexed and marked as Annexures-I to X and A & B mentioned hereunder shall constitute the contract for the purpose of construction, interpretation and effect thereof.

(a) Annexure – I Invitation to Tender
(b) Annexure – II Instructions to Tenderers
I Annexure – III Terms & Conditions of Conversion Contract.
(d) Annexure – IV Letter of Submission of Tenders
(e) Annexure – V Letter of Intent
(f) Annexure – VI Bank Guarantee for Conversion Contract
(g) Annexure – VII Proforma for Custody & Indemnity Bond for Conversion Contract
(h) Annexure – VIII Work Order
(h) Annexure – IX Draft Agreement
(i) Annexure – X Draft Format of TC
(j) Annexure – XI Roles & Responsibilities of Conversion In Charge
(k) Annexure – XII Roles & Responsibilities of TPIA
(l) Annexure – XIII _Security Dposit Bank Guarantee.
(m)Annexure – A Proforma for Weekly Conversion by Conversion Agent
(n) Annexure – B Schedule of Conversion Charges

3. In consideration of the due performance, execution and completion of the job strictly in terms of this Agreement, the Company covenants and agrees to pay to the Succssful Tenderer such sum(s) as may become payable to the Succssful Tenderer as the agreed rates as borne out by the Schedule of Conversion Charges referred to in the Annexure-B of Clause 2 above.

4. The Agreement shall be effective from ………(date) and shall remain in force for a period of five years from the date of issue of Work Order unless terminated earlier by the Company.

5. No modification of this Contract shall be valid and binding upon the parties hereto unless the same are made in writing and are signed by the parties and termed as an amendment to the Contract.

6. Failure to enforce any of the terms and conditions contained in this Contract shall not operate as a waiver of the terms and conditions or be construed as breach thereof.

IN WITNESS WHEREOF the parties hereto have executed these present on the day, month and year above written at……….. . (Name of the place)

Name & Signature of Branch Manager
For and on behalf of
Steel Authority Of India Ltd.

For and on behalf of CA

WITNESSES

1.________________________

2.________________________

WITNESSES

1.____________________________

2.____________________________

(SCHEDULE DETAILING THE RATES ANNEXED.)

ANNEXURE-X

TEST CERTIFICATE

(Name of the Conversion agent)
Conversion Agent of SAIL for the year
…….
(Address of the Reroller)

(BIS License No.)
ISI
Mark

REGULAR TEST

CERTIFICATE

INFORMATION

ANNEXURE-XI

ROLES & RESPONSIBILITIES OF CA INCHARGE (SAIL)

1. PRIMARY ROLE:

RESPONSIBLE FOR OVERSEEING THE CONVERSION PROCESS THROUGH TENDERER AT THE LOCATION AND IMPLEMENTATION OF THE CONVERSION AGREEMENT.

2 **FUNCTIONS AND RESPONSIBILITIES :**

A IMPLEMENTATION OF TERMS AND CONDITIONS OF CONVERSION CONTRACT.
B. PLANNING OF INPUT MATERIAL.
C. ENSURING THROUGH CLOSE SUPERVISION, RECEIPT, APPRAISAL, PROPER STACKING AND INDENTIFICATION OF SEMIS , DOCUMENTATION THEREOF AND LINKAGE WITH TEST CERTIFICATES.
D. PRODUCTION IN CONSULTATION WITH RBM (LP)/ FP/BM AND CONVERSION AGENT.
E. ENSURING SAMPLE TESTING OF FINISHED PRODUCTS, AND RECORD KEEPING THEREOF.
F. ENSURING THOROUGH CLOSE SUPERVISION, BUNDLING, PAINTING MARKING/TAGGING OF CONVERTED MATERIAL.
G. ENSURE PROPER LINKAGE EXISTS BETWEEN FINISHED & INPUT MATERIAL THROUGH PROPER DOCUMENTATION AND RECORDS.
H. CONDUCT RANDOM TEST CHECKS OF FINISHED PRODUCT SAMPLES.
I. ENSURING REGULAR CALIBRATION OF THE WEIGHT-BRIDGE(S) OF CONVERSION AGENT AND MAINTENANCE OF RECORDS OF ZERO ERROR READDINGS.
J. COORDINATION WITH CONCERNED WAREHOUSE MANAGER FOR PLACEMENT OF VEHICLES.
K. FACILITATING DELIVERY OF FINISHED GOODS, THROUGH SCHEDULING OF VEHICLES.
L. DRAWING SCHEDULES FOR DELIVERY OF MATERIALS FROM CONVERSION AGENT: I.E TO CUSTOMER, WAREHOUSE AND OTHER WAREHOUSE
M. CALCULATING THE COST ECONOMICS FOR STOCK TRANSFER TO VARIOUS WAREHOUSES.
N. FACILITATE THE PROCESS OF THIRD PARTY INSPECTION.
O. COORDINATION OF ACTIVITY RELATED TO REJECTION OF FINISHED MATERIALS

ANNEXURE XII

ROLES AND RESPONSIBILITIES OF THE Third Party Inspection Agency (TPIA) FOR CONVERSION ACTIVITIES.

1 The TPIA will be required to assume full responsibility on behalf of SAIL in regard to receipt of Semis, production, quality and dispatch of finished steel at Conversion Agent (CA) premises related to SAIL's contract with its CA. This would include inspection of raw materials and finished products through the CA route as well as of despatch clearance.

2 Further, they should also ensure that

a) The finished products converted with SAIL embossing/ stenciling under the contract are produced only from the rerollables supplied to the CA by SAIL for the purpose.
b) The materials having SAIL's embossing/ stenciling are delivered by the CA only against delivery orders issued by SAIL.
c) No material rolled by CA out of rerollables not issued under CA contract should have SAIL embossing/ stenciling.

3 The TPIA will be required to take all actions that are in the interest of SAIL in operation of the contract with CA.

4 The TPIA shall be required to carry out following tasks –

a. To certify chemical composition (by witnessing, Testing in Spectrometer/ Stolhor's apparatus), mechanical properties(by witnessing Tensile test in UTM, Bend Test, Hardness Test in Brinel/ Vickers machine and Fracture test through Charpy machine, Hydro Testing) and microstructure pattern of the products rolled based on sample testing, drawn as per sampling plan detailed below. The inspection will be carried out as per the Quality Assurance Plan drawn and the TPIA should inspect/ supervise testing accordingly.
b. To certify that the material tested meets the requirements of the ordered specification of SAIL on the CA Conversion agent in all respect as given in the IS/SAIL specification for that grade including tolerances, surface characteristics etc.
c. To certify that proper tracing back of the tested sample has been done up to the raw material stage and they have been rolled from the raw material supplied by SAIL to the CA Conversion agent.
d. For the same, the TPIA should witness all operational activities like witnessing receipt of SAIL's rerollables (raw materials) in CA's yard, ensure appropriate marking and stacking of the rerollables at the designated location, witness cutting (if carried out) and charging of SAIL's rerollables in the furnace and subsequent rolling into finished products. Further, in order to facilitate the tracing back, the TPIA should ensure proper maintenance of the master log book by the conversion/ CA Conversion agent, as may be required, detailing the lot number, size, grade, vehicle number, date of receipt, TC number of the plant, Heat No., chemical composition as given in the TC, No. of pieces received, results of visual inspection carried out, check analysis report on chemical composition on the input side and should assign

a unique lot No. per vehicle load.

e. In case of variations beyond prescribed limit of IS/ SAIL specification between heat and product analysis of input material, the chemical composition of input material should be got retested by the third party Inspection Agency and recorded under his signature. Only if the same are established to be within prescribed limit of IS/ SAIL specification the rolling should be undertaken. Any Semis found unsuitable for Rolling/ welding will be sent back to the Warehouse under the Joint inspection of TPIA, CA & Branch Officials.

f. On the output side, sizes of material rolled/ welded, grade, tonnage, date of rolling/ welding and results of mechanical and chemical testing should be entered into against the unique lot No. allotted. When the material of that inspected lot is despatched from the premises of the CA, the challans No., Test Certificate No. issued, Vehicle No., and date of despatch and destination should be entered into against the unique lot No. allotted. The same unique lot No. should also be assigned to the final product.

g. In the master log book, the third party Inspection Agency should affix his signature with the date of inspection of the lot. This will enable complete tracing back of the finished material up to the raw material stage.

h. To countersign and certify the test certificate issued by the CA with their official seal. TPIA should also ensure that the TC's issued for the finished products contain the Heat Number, (available from the Test certificate issued from the plant as corresponding link to the Semis bearing the name of the Plant), along with Lot Nos. allotted before countersigning the TC's.

i. To also affix their seal on the tag of the product bundle.

j. Submission of report to the Branch Manager on daily basis, listing out the lot numbers inspected and certified by them detailing the size, grade, tonnage and date of inspection/ certification of both input and output products.

5 The following sampling plan will have to be followed by the TPIA:

a. In case of Reinforcement Bars, one sample per 10 Mt or part thereof should be tested. In case different sizes are rolled, one sample from each size out of 10 Mt of that size should be tested.

b. In case of Tubes, one sample per 100 numbers of Tubes should be tested.

6. a) Deployment of TPIA personnel at the premises of CA on 24 hrs basis is the essence of the contract.

b**)** The TPIA shall deploy their employees at CA's premises (as the case maybe) on the date of commencement of work as stipulated in the Work Order.

c) TPIA shall employ for SAIL's work under this contract only those inspectors who have as a minimum Educational qualification of a Graduate Degree in science/ Engineering Degree/ Diploma, preferably with qualifications & experience in Testing & inspection.

d) SAIL reserves the right to seek replacement of unsuitable inspector. SAIL's decision in this regard shall be final.

e) Successful tenderers' representative(s) shall maintain a daily attendance register which will be kept at the CA premises at all times.

ANNEXURE - XIII

SECURITY DEPOSIT BANK GUARANTEE
(FROM ANY SCHEDULED BANK EXCEPT GRAMIN / COOPERATIVE
BANKS AND CATHOLIC SYRIAN BANK)
(BG valuing Rs 40 Lakhs for TMT)

STEEL AUTHORITY OF INDIA LTD

1 In consideration of the Steel Authority of India Ltd, A Govt. Company incorporated under the Companies Act, 1956 and having its registered office at Ispat Bhavan, Lodi Road, New Delhi 110003 and also having inter-alia one of its Branch Sales Offices at Patna (hereinafter called the 'Company') having agreed to accept this Guarantee towards the Security (and as Security Deposit) for the due performance of all the obligation contained in the Contract dated (hereinafter called the "said Contract", which expression shall include any formal agreement entered into subsequent thereto or in supercession thereof and all modification to and amendments in the said agreement) made between the Company and M/s. ………(hereinafter called the 'Contractor' or 'CA') for Conversion situated at HAJIPUR under the said Contract, we…………..(Name of the Bank) (hereinafter referred to as the 'said Bank') do hereby undertake to pay the Company an amount not exceeding Rs40 lakhs (Rupees Forty lakhs only) against the Contractor's failure and/or non observance and/or breach(s) of any of its obligations and/or the terms and conditions contained in the contract dated ……….

2. We ……….. (Name of the Bank) do hereby undertake to pay at cash counter the amount (s) due and payable under this Guarantee to the extent of Rs. 40 lakhs (Rupees Forty lakhs) only without any demur or protest, merely on receipt of a demand from the Company stating that the said Contractor has failed to fulfill and / or observe and/or committed breach (es) of the obligations as stipulated in the Contract dated …….. and the amount claimed is due and payable to the Company by the said Contractor on account thereof. Any such demand made on the said Bank shall be conclusive as regards the amount due and payable by the Bank under this Guarantee. It is hereby expressly agreed and affirmed that the Company shall have the fullest liberty to claim payment of the amount under this Guarantee subject to the ceiling limit of Rs 40 lakhs (Rupees Forty lakhs only) as referred to above and this Guarantee shall not become infructuous or invalid because of the partial payment or payments made by us to the Company pursuant to the demand or demands made by the Company upon us for payment from time to time. It is further affirmed that this Guarantee shall hold good in favour of the Company to the extent of the balance amount covered under this Guarantee. It is also agreed and affirmed that the Company shall be the sole judge as to whether the said Contractor has failed to observe / fulfill / any or all the obligations contained in the Contract dt ……… referred to above, and/or committed any breach or breaches in respect thereof as also the amount become due and payable by the Contractor/CA on account therefore, and such decision of the Company shall be final and binding upon us. However, our liability under this Guarantee shall be restricted to an amount not exceeding Rs40 lakhs (Rupees Forty lakhs only).

2 We the said Bank, further agree that this Guarantee shall remain in full force and effect until the said Contractor fulfills all the obligations under the contract dated ……… in due performance thereof and that it shall continue to be enforceable for the period that would be taken for satisfactory performance and fulfillments in all respects of all obligations under the Contract dated…… and that it shall continue to be enforceable till any notice of no claim is given by the Company.

3 We, the said Bank, further agree that the Company has the fullest liberty without affecting in any

manner our obligations herein to vary any of the terms and conditions of the said Contract dated …… and to forebear or enforce any of the terms and conditions relating to the said Contract and we shall not be relieved of our liability under this Guarantee by reason of any such variation or extension being granted to the said Contractor or for any forbearance and/or commission on the part of the Company.

4 We …….(name of the Bank) state and affirm that this Guarantee will be valid and effective for a period of five years from the date of issue and we further agree that the guarantee herein contained shall not be affected by any change in the Constitution of the said Contractor.

Dated : ……………………………..day of……………….(month) ……………..(year)

for____________________________
(Name of the Bank) Accepted For & on behalf of STEEL AUTHORITY OF INDIA LIMITED

ANNEXURE – A

PROFORMA FOR REPORTING WEEKLY STATUS OF CONVERSION UNDER **CONVERSION** Position as on ……

A) Conversion details and stock

Stock of Semis as on beginning of the month (MT)	Semis received during the fortnight (MT)	Size wise Conversion done (MT)	Stock of converted product held (MT)	Stock of Semis in hand (MT)

B) Supply position

D.O. No. & Date	Size	Quantity (MT)	Qty delivered during the week (MT)	D.O. Balance (MT)

C) Please remit payment of Rs. _________ (Rupees ___________) towards Conversion Agent charge.

Signature with Seal

(Name & Add of Conversion Agent)

To The Branch Manager Branch Sales Office

ANNEXURE – B

PROFORMA FOR SCHEDULE OF -CONVERSION AGENT CHARGES FOR TMT

RAW MATERIAL: BILLET **(100mm – 150 mm)**

Detail of Finished materials to be converted			Conversion **Charges per tonne of finished product**
Material	Size(MM)	Indicative percentage breakup	Charge (Rs./tonne) **consolidated rate for TMT**
TMT	8 ,10 ,12 ,16, 20 -32	**15 % 15 % 30 % 20 % 20 %**	

Freight for transportation of converted products to parent stockyard in Rs / tonne (prefixed)			
Stockyard	**From**	**Truck Rate**	**Trailer Rate**
Patna	Hajipur	570	400

N.B.: 1) Rates to be quoted both in figure and words. 2) Conversion Charges are to be kept *valid/firm* at least for three years. ***(Based on period of construction of two years and one year of operations)***
2) The estimated percentage breakup is only indicative and for the purposes a general guideline as to the expected ends products. The actual quantum of work in the specific dia/size range can vary. **A single Rate needs to be quoted for all sizes of TMT.**

SIGNATURE OF THE TENDERER
WITH OFFICIAL SEAL